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Conceptual Framework and Financial Statements



SPOTLIGHT

Alibaba Group

www.alibabagroup.com

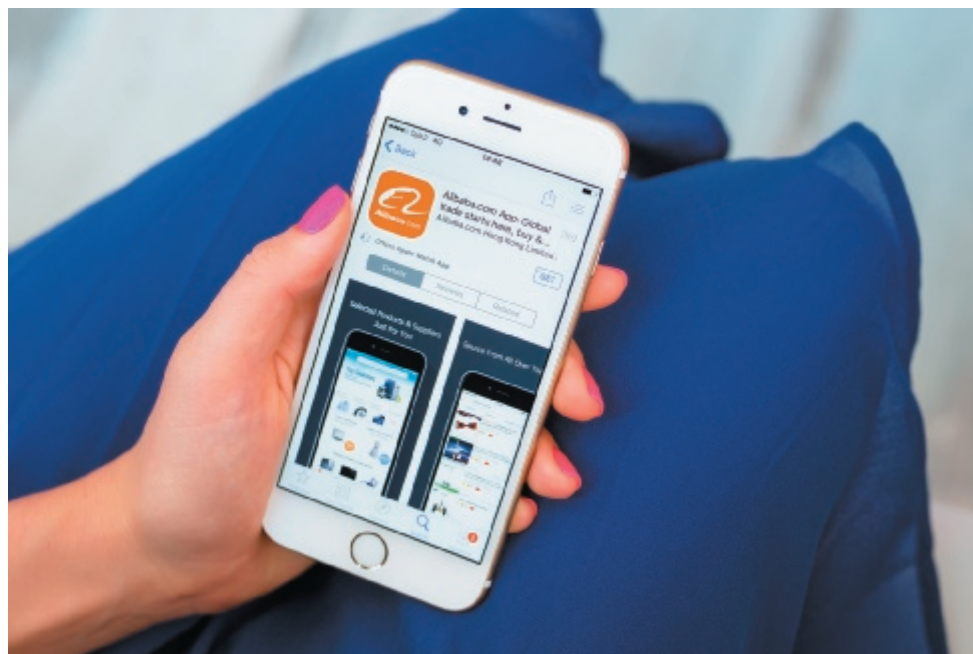
In 1998, Jack Ma, a former English teacher from Hangzhou, China, started Alibaba with 18 other people. Alibaba was established to champion small businesses, in the belief that the Internet would level the playing field by enabling small enterprises to leverage innovation and technology to grow and compete more effectively in the domestic and global economies. Fast-forward 20 years. Alibaba is now a global Internet e-commerce giant with businesses ranging from marketplaces such as alibaba.com and taobao.com to financial services (Alipay), cloud computing, and even motion pictures (Alibaba Pictures). Alibaba's Initial Public Offering (IPO) on the New York Stock Exchange in 2014 is currently the largest IPO to date, having raised over US\$20 billion.

In the financial year ended March 31, 2016, Alibaba earned a total revenue in excess of 100 billion Renminbi (¥), which is equivalent to about US\$15.7 billion. After deducting the cost of sales and other expenses, Alibaba's 2016 net income was about ¥71 billion. From its operating activities, Alibaba generated cash flows of about ¥57 billion. Its assets grew from ¥255 billion the year before to ¥364 billion in 2016. ●

Renminbi Chinese currency, abbreviated RMB or CNY for Chinese Yuan, ¥



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A1				
	A	B	C	D
1	Alibaba Group Holdings Limited	Year Ended March 31		
2	Consolidated Income Statement			
3	(Adapted, in millions of ¥ and US\$)	Mar. 31, 2015	Mar. 31, 2016	Mar. 31, 2016
4	Revenue	¥ 76,204	¥ 101,143	\$ 15,686
5	Cost of revenue	(23,834)	(34,355)	(5,328)
6	Product development expenses	(10,658)	(13,788)	(2,138)
7	Sales and marketing expenses	(8,513)	(11,307)	(1,753)
8	General and administrative expenses	(7,800)	(9,205)	(1,428)
9	Amortization of intangible assets	(2,089)	(2,931)	(455)
10	Impairment of goodwill	(175)	(455)	(71)
11	Income from operations	23,135	29,102	4,513
12	Other income	2,486	2,058	319
13	Interest and investment income	9,455	52,254	8,104
14	Interest expense	(2,750)	(1,946)	(301)
15	Share of results of equity investees	(1,590)	(1,730)	(269)
16	Income tax expenses	(6,416)	(8,449)	(1,310)
17	Net income	¥ 24,320	¥ 71,289	\$ 11,056

The terms *revenue*, *net income*, etc. may be foreign to you now, but after you read this chapter, you will gain a greater understanding of financial statements. Welcome to the world of accounting!

Each chapter of this text begins with adapted extracts of an actual financial statement. In this chapter, our reference is the Consolidated Income Statements of Alibaba, for the two years ended March 31, 2015, and March 31, 2016. We will continue to explore various examples of financial statements (and their notes to the accounts) throughout this text, so you can relate the theories and concepts to actual financial accounting practices and disclosures.

The core of financial accounting revolves around the following financial statements:

- ▶ Statement of Comprehensive Income (which includes the above Income Statement)
- ▶ Statement of Financial Position (more commonly called Balance Sheet)
- ▶ Statement of Cash Flows
- ▶ Statement of Changes in Equity

Financial statements are the business documents that companies use to report the results of their activities to various user groups, which can include managers, investors, creditors, and regulatory agencies. In turn, these parties use the reported information to make a variety of decisions, such as whether to invest in or loan money to the company, amongst many others. To learn accounting, you must learn to focus on decisions. In this chapter we explain the *Conceptual Framework* of financial reporting, which underpins how a financial phenomenon is recognized, measured, and disclosed to the users of financial statements. We will also look at the bodies responsible for issuing accounting standards. We will discuss the judgment process that is necessary to make good accounting decisions. In addition to this, we will also discuss the contents of the four basic financial statements that report the results of those decisions. In later chapters, we will explain in more detail how to construct financial statements as

well as how user groups typically use the information contained in these statements to make business decisions.

LEARNING	OBJECTIVES
1 Understand the role of accounting in communicating financial information 2 Understand the underlying accounting concepts in the IFRS <i>Conceptual Framework</i>	3 Obtain insights into business operations through financial statements 4 Identify financial statements and their inter-relationships 5 Understand the role of ethics in accounting

UNDERSTAND THE ROLE OF ACCOUNTING IN COMMUNICATING FINANCIAL INFORMATION

Business Decisions

Alibaba's shareholders and potential investors make many financial decisions. They decide when to buy, hold, or sell their investment. They assess the stewardship and accountability of the company's management. They assess the profitability, efficiency, liquidity, and cash flows of the company. Alibaba's management also uses financial information to help the company decide on its sources of funding and capital; they make costing and pricing decisions and analyze the performance of various business groups within the company. Accounting helps companies, their shareholders, and management make these decisions.

Take a look again at Alibaba's Consolidated Income Statement. Let us start with its "bottom line" on line 16. Alibaba calls it "net income" but other businesses may use terms such as "net profit" or "Income for the year." Net income is the excess of revenues over expenses. We can see that Alibaba earned a net income of ¥71 billion for the financial year ended March 31, 2016. That's good news because it means that Alibaba had ¥71 billion more in revenues than its expenses for the year, despite the challenging economic conditions and subdued economic growth since the global financial crisis of 2008. What is amazing is that Alibaba's growth in revenue is at 33%, but its net income has almost doubled!

Suppose you have some money to invest. What information would you need before deciding to invest in Alibaba? How would you know if the information appropriately reflects Alibaba's actual financial performance and financial position? Let's see how accounting gives you all this information.

1 Understand the role of accounting in communicating financial information

Accounting Is the Language of Business

Italian merchants in Genoa, Florence, and Venice were at the epicenter of trade between Europe and the Middle East in the 13th and the 14th centuries. As trading ventures grew, individual merchants were not able to provide the capital necessary to conduct business ventures on their own. Thus, the concept of "shareholders" and "capital" was born, and along with it the need to report on the venture's financial status to investors. Father Luca Pacioli, a contemporary of Leonardo da Vinci, documented the so-called "Venetian Method" of bookkeeping in his book titled *Summa de Arithmetica, Geometria, Proportioni et Proportionalita (Everything About Arithmetic, Geometry and Proportion)*, published on November 10, 1494. As commerce grew in Europe, it quickly spread, and today we know it as the **double-entry system** of bookkeeping, which forms the basis of financial reporting to shareholders. In fact, November 10 is celebrated as International Accounting Day!

Accounting today is clearly more complex and sophisticated than what was prescribed by Pacioli, but at its heart, **accounting** is an information system. It records and measures business activities, processes data into information, and communicates this information to decision makers who make decisions that will have an impact on business activities. Indeed, accounting is "the language of business."

Exhibit 1-1 shows how business activities are recorded in the accounting system, which, in turn, produces financial reports that help decision making in business activities.

Exhibit 1-1 | The Flow of Accounting Information

So, who needs to be familiar with this language? Those who run a business? Shareholders? Well anyone who makes any business decision needs to be familiar with accounting. Accounting is the language of communication in all businesses. The better our understanding of this language, the better we can understand our finances, our businesses, or our investments!

Two Perspectives of Accounting: Financial Accounting and Management Accounting

Both *external* and *internal users* of financial information exist. Therefore, we can classify accounting into two branches. **Financial accounting** provides information to decision makers outside the **reporting entity**. These are investors, creditors, government agencies, and the public. This text focuses on financial accounting.

Management accounting provides information for Alibaba's managers. Examples of management accounting information include budgets, forecasts, and projections that are used in making strategic decisions for the entity. Managers of Alibaba have the ability to determine the form and content of financial information in order to meet their own needs. Internal information must still be reliable and relevant for their decision needs.

You may be doing this course as an accounting student or a non-accounting student. Regardless of your eventual career ambitions, knowledge of accounting will help you understand how organizations operate. Many accounting graduates work in professional accounting services, typically with public accounting firms. These firms offer various services to business and government sectors, such as audit and assurance, taxation advice, consultancy, and advisory. Those who venture into the corporate world may work in various accounting functions, from treasury and finance, to internal audit and risk management. Even if you are not an accounting student, in almost all lines of work and across industries, you will have to make decisions in your day-to-day activities, most of which will require you to understand, prepare, or work with some form of financial reporting and budgeting. On a personal level, you may also find that accounting helps you manage your own finances and investments better.

Organizing a Business

Accounting is used in every type of business. A business generally takes one of the following forms:

- Proprietorship
- Partnership
- Corporation

Exhibit 1-2 compares ways to organize a business.

Exhibit 1-2 | The Various Forms of Business Organization

	Proprietorship	Partnership	Corporation
1. <i>Owner(s)</i>	Proprietor—one owner	Partners—two or more owners	Shareholders—generally many owners
2. <i>Personal liability of owner(s) for business debts</i>	Proprietor is personally liable	General partners are personally liable; limited partners are not	Shareholders are <i>not</i> personally liable

Proprietorship. A **proprietorship** has a single owner, called the proprietor. Mark Zuckerberg’s Facebook started out in a dormitory room at Harvard University; it was originally designed to serve as an intra-university software to help students recognize faces on campus. Steve Jobs and Steve Wozniak started Apple in the garage of Jobs’ childhood home. Jack Ma started Alibaba in his apartment in Hangzhou. Almost every single big company you see today started just like Facebook, Apple, and Alibaba. Proprietorships tend to be small retail stores or individual providers of professional services—physicians, attorneys, software programmers, or accountants. Legally, the business *is* the proprietor, and the proprietor is personally liable for all the business’s debts. But for accounting purposes, a proprietorship is a distinct entity, separate from its proprietor. Thus, the business records should not include the proprietor’s personal finances.

Partnership. A **partnership** has two or more parties as co-owners, and each owner is a partner. Individuals, corporations, partnerships, or other types of entities can be partners. Income and loss of the partnership “flows through” to the partners and they recognize it based on their agreed-upon percentage interest in the business. In general, a partnership is not a taxpaying entity. Instead, each partner takes a proportionate share of the entity’s taxable income and pays tax according to that partner’s individual or corporate rate. Many retail establishments, professional service firms (law, accounting, etc.), real estate, and oil and gas exploration companies operate as partnerships. Many partnerships are small or medium-sized, but some are very large, with thousands of partners. Partnerships are governed by agreement, usually spelled out in writing in the form of a contract between the partners. General partnerships have mutual agency and unlimited liability, meaning that each partner may conduct business in the name of the entity and can make agreements that legally bind all partners without limit for the partnership’s debts. Therefore, partnerships are quite risky because an irresponsible partner can create large debts for the other general partners without their knowledge or authorization. This feature of general partnerships has spawned the creation of limited-liability partnerships (LLPs).

A *limited-liability partnership* is one in which a wayward partner cannot create a large liability for the other partners. In LLPs, each partner is liable for partnership debts only up to the extent of his or her investment in the partnership, plus his or her proportionate share of the liabilities. Each LLP, however, must have one general partner with unlimited liability for all partnership debts. Many of the accounting firms, such as the “Big 4” accounting firms (Deloitte, E&Y, KPMG, and PricewaterhouseCoopers) are now organized as LLPs.

Corporation. A **corporation** is a business owned by the **shareholders**, who own shares representing ownership in the corporation. One of the major advantages of doing business in the corporate form is the ability to raise capital from issuance of shares to the public. In 1999, Jack Ma founded Alibaba with a mere US\$60,000—this was an initial investment from friends and close ones. Mark Zuckerberg and other Facebook founders incorporated their company in late 2004 and received initial investments from a group of people, including Peter Thiel, the co-founder of PayPal. All types of entities (individuals, partnerships, corporations, or other types) may be shareholders in a corporation. Even though proprietorships and partnerships are more numerous, corporations transact much more business and are larger in terms of assets, income, and number of employees. Most well-known companies, such as the Samsung Group, Starbucks, Google,

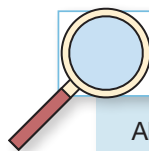
Toyota, and LEGO, are corporations. Their full names usually indicate that they are structured as a company. The most common labels include *Corporation*, *Incorporated*, or simply *Company*. This depends very much on the local and legal practices in the country of incorporation. For example, in Australia you often see *Pty Ltd* (*Proprietary Limited*), in the United Kingdom you will see *PLC* (*Public Limited Company*), in Germany *AG* (*Aktiengesellschaft*), in Italy *SpA* (*Società per Azioni*), in Malaysia *Sdn Bhd* (*Sendirian Berhad*), in Singapore *Pte Ltd* (*Private Limited*), in Belgium *SA* (*Société Anonyme*), in Brazil *Ltda* (*Sociedade Limitada*), etc.

A corporation is formed under the relevant legislations extant in the country of incorporation. Unlike proprietorships and partnerships, a corporation is legally distinct from its owners. The corporation is like an artificial person and possesses many of the same rights that a person has. The shareholders have no personal obligation for the corporation's debts and have limited liability. Ultimate control of a corporation rests with the shareholders, who generally get one vote for each share they own. In general, shareholders elect the board of directors, which sets policy and appoints management officers, such as the chief executive officer (CEO), chief operating officer (COO), and chief financial officer (CFO), and other key functions as necessary.

Role of Accounting Standards

In science, we assign numerals to represent the properties of material systems according to the scientific laws that govern those properties. For example, we can measure the size of an object, the temperature of a room, the speed of a car, and so on. Similarly, in accounting, we assign monetary amounts to represent elements of financial statements in accordance to some accounting standards. Accounting standards are necessary because without them, users of financial statements would have to learn the basis of accounting for each company, making comparisons to other companies' financial statements difficult.

Unfortunately, unlike scientific laws, accounting rules tend to vary in different jurisdictions. Until recently, one of the major challenges in conducting global business has been the fact that different countries have adopted different accounting standards for business transactions. Developed countries like the United States, the United Kingdom, Japan, Germany, Australia, etc., follow their own professional frameworks for measurement and disclosure of financial information, usually called **generally accepted accounting principles (GAAP)**. As investors seek to compare financial results across entities from different countries, they have had to restate and convert accounting data from one country to the next in order to make them comparable. This takes time and can be expensive, especially in a globalized world with multinationals operating across many countries.



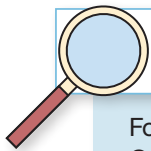
A Closer Look

Alibaba's financial statements were prepared under U.S. GAAP (more on the role of accounting standards later in this chapter). For our discussions in this introductory chapter, there is no discernible difference in the presentation of items on the financial statements.

The potential solution to this problem lies with the **International Accounting Standards Board (IASB)** and its **International Financial Reporting Standards (IFRS)**. The IASB was formed in 2001 to replace the International Accounting Standards Committee (IASC) with the objective of developing a single set of high-quality, understandable, and enforceable accounting standards to help participants in the world's capital markets and other users make economic decisions. While IASB now sets IFRS, the previously issued International Accounting Standards (IAS) by the IASC continue to remain effective. This is why, in our study of accounting, we will see some standards labeled IAS or IFRS. Collectively, they can simply be referred to as IFRS. These standards may also be relabeled differently in different countries. For example, in Singapore, they are called Financial Reporting Standards (FRS), in Australia, they are labeled AASB after its national Australian Accounting Standards Board, in South Africa, they are called Generally Recognized Accounting Principles (GRAP), and so forth. Throughout this book, we will

make references to accounting standards by their original IAS and IFRS numbers and titles. You can access IFRS from the IASB website at www.ifrs.org after completing a free registration process. If you are interested in comparisons between your local accounting standards and IFRS, you can refer to Appendix D which contains a listing of IFRS and some other useful resources.

These standards are now being used by most countries around the world. According to the IFRS Foundation, 84% of 150 jurisdictions (countries and territories) around the world either require or permit the use of IFRS for financial reporting, especially for listed companies. Other major economies, including the United States, Japan, India, and China, are working towards IFRS convergence. As this exercise gains momentum, you can expect to hear more about the adoption and use of IFRS, as well as global harmonization of accounting standards. When you do, the most important things to remember will be that these changes will be beneficial for financial statement users in the long run, and that most of what you learn in this accounting course will strongly apply.



A Closer Look

For a while, there was talk about the possibility of a full convergence between U.S. GAAP and IFRS. The signing of a Memorandum of Understanding (MoU) in September 2002 between the U.S. Financial Accounting Standards Board (FASB) and the International Accounting Standards Board (IASB) opened the way for various joint projects and joint pronouncements. Since 2007, non-U.S. companies listed in the United States are able to report using IFRS without reconciliation to GAAP. In 2008, an updated MoU further placed a set of common priorities and milestones for both IASB and FASB. Despite progress (and successes) in many joint projects between the FASB and the IASB, including the new joint standard on Revenue (see Chapter 3), the appetite for full convergence has diminished. The two boards have agreed to disagree on a number of key standards such as leasing, financial instruments, etc.

Outside of the United States, however, convergence is continuing with increasing jurisdiction, either mandating or allowing the use of IFRS for listed companies. In fact, the vision of global accounting standards has been publicly supported by many governments and international organizations, including the G20 (group of twenty major economies in the world), the World Bank, the International Monetary Fund (IMF), the International Committee of Securities Commissions (IOSCO), and the International Federation of Accountants (IFAC).

Region	Number of Jurisdictions				
	Jurisdictions in the region	Jurisdictions that require IFRS Standards for all or most domestic publicly accountable entities	Jurisdictions that require IFRS Standards as % of total jurisdictions in the region	Jurisdictions that permit or require IFRS Standards for at least some (but not all or most) domestic publicly accountable entities	Jurisdictions that neither require nor permit IFRS Standards for any domestic publicly accountable entities
Europe	44	43	98%	1	0
Africa	23	19	83%	1	3
Middle East	13	13	100%	0	0
Asia-Oceania	33	24	73%	3	6
Americas	37	27	73%	8	2
Totals	150	126	84%	13	11
As % of 150	100%	84%		9%	7%

For more information about individual jurisdiction profile, visit <http://www.ifrs.org/Use-around-the-world/Pages/Jurisdiction-profiles.aspx>.

The advantages of adopting one common set of standards are clear. Companies in jurisdictions that have mandated or allowed the use of IFRS, such as Australia, Hong Kong, the United Arab Emirates, Europe, Japan, and the United States, will have financial statements that are more comparable with each other. It will be far easier for investors and other financial statement users to evaluate the information of various companies across the globe, and companies will only have to prepare one set of financial statements, instead of multiple versions. Thus, in the long run, the global use of IFRS should reduce the costs of doing business globally.

UNDERSTAND THE UNDERLYING ACCOUNTING CONCEPTS IN THE IFRS CONCEPTUAL FRAMEWORK

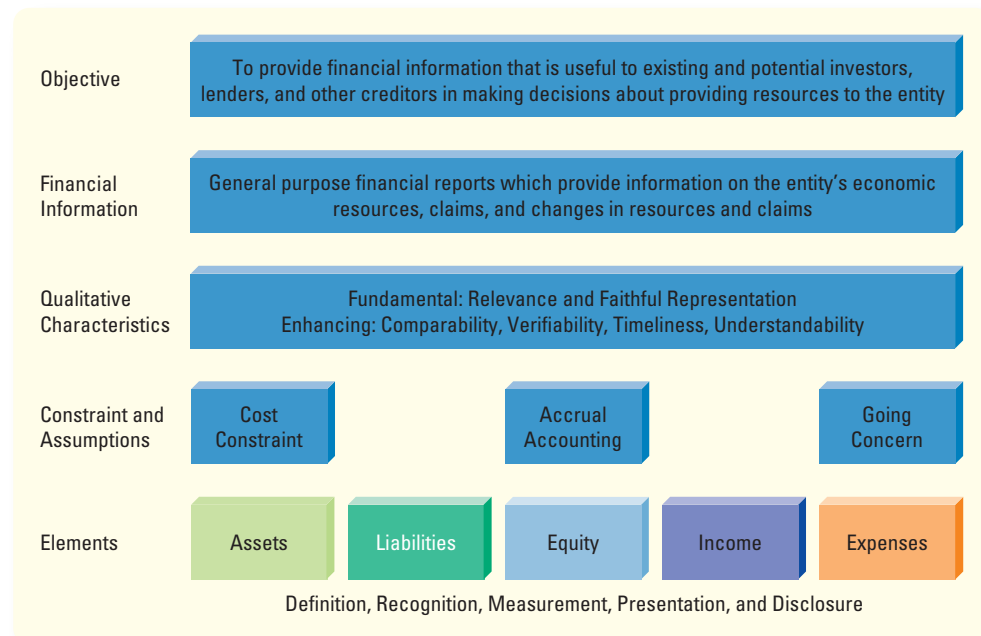
2 Understand the underlying accounting concepts in the IFRS Conceptual Framework

The Conceptual Framework

The *Conceptual Framework* lays the foundation for resolving the big issues in accounting. You can think of it as the “Why, Who, What, How” of financial reporting. The *Conceptual Framework for Financial Reporting* (we will refer to it as the *Conceptual Framework*) prescribes the nature, function, and boundaries within which financial accounting and reporting operate. The existing *Conceptual Framework* (last updated in 2010) is a joint publication by the IASB and the FASB, used as a foundation for reviewing existing and developing new accounting standards. The revised *Conceptual Framework* is expected to be released toward the end of 2017. You can access the *Conceptual Framework* on the IASB website. Your instructor may alternatively direct you to a copy of the *Conceptual Framework* as applicable in your jurisdiction.

The *Conceptual Framework*’s focus is on **general purpose financial statements**, which are prepared and presented annually and are directed toward the common information needs of a wide range of financial statement users. Many of these users rely on the financial statements as their major source of financial information. Special purpose financial reports, such as computations for taxation purposes or other regulatory reporting requirements, are outside the scope of the *Conceptual Framework*. Exhibit 1-3 gives an overview of the *Conceptual Framework*.

Exhibit 1-3 | Conceptual Framework of Financial Reporting



Why Is Financial Reporting Important?

The *Conceptual Framework* states that the objective of financial reporting is to provide financial information about the reporting entity that is useful to existing and potential investors, lenders,

and other creditors. This includes information about the entity's resources and claims to those resources, and the effects of transactions and other events and conditions that change those resources and claims. Users evaluate financial statements to make decisions like whether or not to make additional investments into the entity, provide credit and financing, or assess the management's efficiency and effectiveness in its use of the entity's resources.

While financial statements can be used to help users assess the financial health of an entity, as well as its strengths and weaknesses, they are not designed to show the "value" of an entity; that depends on many other factors besides financial statements, such as general economic conditions and expectations, political events and climate, and industry and company outlook.

Who Are the Users of Financial Reports?

Different users make different types of economic decisions based on their relationship with the entity. In your personal and professional life, you are very likely to assume any of these user roles. Here are some examples of users who may be interested in Alibaba's financial statements (and other parts of a company's annual report, which we will discuss in Chapter 4):

- Investors in Alibaba would want to know if they are getting adequate returns for the risks they are taking when they invest in the company. They may decide to increase, hold, or decrease their ownership of Alibaba by buying or selling their shares on the stock exchange.
- Employees of Alibaba may be interested in its financial information for many reasons. Job security, salary increments, and compensation bonuses are usually worse off when a company has declining profits or is experiencing losses.
- Creditors, such as bankers or other financial institutions, may need to decide if they will grant Alibaba additional loans for expansion plans. They would want to know if Alibaba has the ability to service interest payments and whether it will be able to repay the loan principal.
- Suppliers and trade creditors often grant credit terms to their customers. They would want to know that Alibaba will be able to pay their invoices as and when they become due.
- It is unlikely that retail customers would demand financial information before buying merchandise from Alibaba. However, if you know that Alibaba is experiencing financial difficulties or suffering losses, you may be worried that it will not be able to offer warranty support or repair services for its products.
- The government and its agencies are interested in various aspects of a business, for example, tax collection and allocation of grants or subsidies. Listed companies would also need to comply with the stock exchange's disclosure requirements or "listing rules."
- With increasing expectations of corporate social responsibility, members of the public may be interested in Alibaba executive remuneration, health and safety issues, or even the environmental impact of its business operations.

It is important to note that the *Conceptual Framework* specifically states that general purpose financial reports do not satisfy all the potential information needs of financial statement users. The *Conceptual Framework* focuses on primary users of financial statements, which includes existing and potential investors, lenders, and creditors. The IASB uses the *Conceptual Framework* in setting accounting standards that provide an information set to meet the needs of the maximum number of primary users. Other non-primary users, such as government regulators, may find financial statements useful, but the financial statements are not primarily directed towards them.

What Makes Financial Information Useful?

The *Conceptual Framework* uses the term **qualitative characteristics** to describe the attributes that will most likely make the information provided in financial statements useful to users. The *Conceptual Framework* suggests that if financial information is to be useful, it must first be relevant and it must faithfully represent what it purports to represent—these are the "fundamental qualitative characteristics." Information that is relevant and faithfully represented may be further enhanced if it is comparable, verifiable, timely, and understandable—these are the "enhancing

qualitative characteristics.” Enhancing qualitative characteristics will never make information that is not relevant become relevant, and similarly, will not make information that is not faithfully representative be so.

Fundamental Characteristic: Relevance

To be relevant, information must be capable of making a difference to the decision maker. Typically, this happens when financial information is used to help users in making their own predictions of future outcomes (predictive value) or in assessing previous evaluations (confirmatory value). Information that has predictive value often also has confirmatory value. For example, Alibaba’s revenue for 2016, ¥101 billion, can be used as the basis for predicting revenue for 2017 and compared against the revenue of previous years.

The degree of relevance may be influenced by the **materiality** of the information. Materiality means that the information must be important enough to the user to make a difference to his or her decision if it were omitted or erroneously declared. Only the information that is material needs to be separately disclosed, listed, or discussed in financial statements. An item may be material due to its nature or magnitude, or both. For example, all entities are required to disclose financial expenses (borrowing costs, interest expenses) regardless of their magnitude. Immaterial items are not required to be disclosed separately and may be combined with other information. Thus, materiality depends on the size of the item or the scale and impact of the error in the particular circumstances of its omission or misstatement. The *Conceptual Framework* did not prescribe a fixed level of materiality since it is entity-specific—what is material for one entity may not be material for another.

Fundamental Characteristic: Faithful Representation

Financial statements represent **economic phenomena**, i.e., resources, claims to resources, and changes in resources and claims, in words and numbers. Such depiction should reflect the substance of an economic phenomenon rather than its legal form. Information that faithfully represents the underlying economic phenomenon should be complete, neutral, and free from error. Completeness means that the financial reports should include all necessary information for a user to understand the economic phenomenon being depicted, including all necessary descriptions and explanations. Neutrality means that the information must be depicted without bias. It is supported by the concept of prudence, i.e., the exercise of caution when making judgments under conditions of uncertainty. Freedom from error means that there are no erroneous depictions of economic phenomenon nor any omission. If you were to discover that Alibaba’s total expenses in 2016 were not complete or were riddled with errors, you would not rely on its financial statements.

Enhancing Characteristic: Comparability

Users usually compare financial statements of an entity over a period to identify trends in its financial position and performance. Thus, it is important that the basis of preparation and presentation remains comparable over time. For example, the comparison between Alibaba’s sales in 2016 and 2015 only makes sense if you know that there has been no material change in the way sales are recognized in the financial statements. Similarly, you may want to compare Alibaba’s performance to another retailer, and before drawing any conclusions you would want to be sure that net sales are derived in the same way for both companies. To be comparable, “like things must look alike, and different things must look different.” Comparability does not force an entity to continue using the same accounting principles, policies, or estimates when more relevant and newer information surfaces.

Enhancing Characteristic: Verifiability

Verifiability helps assure users that information faithfully represents the economic phenomenon it purports to represent. It means that given the same economic phenomenon and its depiction, two different knowledgeable and independent parties can come to a consensus that the depiction is a faithful representation of the economic phenomenon.

Enhancing Characteristic: Timeliness

Timeliness means that the information must be made available to users early enough to help them make decisions, thus, making the information more relevant to their needs. By providing information about its financial position and performance to the users of the financial statement in a timely

manner, Alibaba allows investors to readily make decisions about their investments in the company. Normally, the stock exchange on which a company is listed will determine how often and how quickly a company must publish its financial results.

Enhancing Characteristic: Understandability

We discussed earlier that accounting is the language of business. And just like any language, you will need some basic knowledge before you can converse, read, or write about it. Understandability means that financial information must be classified, characterized, and presented clearly and concisely. The framework assumes that users have a reasonable knowledge of business, economic activities and accounting, and a willingness to study the information with reasonable diligence. Thus, whilst you may not have the knowledge right now, by the end of this course you will be able to understand the accounting vocabulary and use financial information for decision making.

What Constraints Do We Face in Providing Useful Information?

In providing information that can be useful to our users, a pervasive constraint we face is cost. Financial information is not produced without costs; for example, cost of data collection, cost of data processing, and cost of verifying and disseminating the information. Naturally, higher costs result in lower returns to shareholders. Businesses will need to assess whether the benefits of reporting particular information are likely to outweigh the costs incurred in providing or using the information.

What Are Our Assumptions in Financial Reporting?

The *Conceptual Framework* states that in order to meet the objectives of financial reporting, there are assumptions that we need to make. Firstly, we prepare our financial statements on an **accrual basis**. In short, this means that transactions and other events are recognized when they occur and not when cash is received or paid. We will explore more about accrual accounting in Chapter 3.

In measuring and reporting financial information, we also assume that the entity will continue to operate long enough to use existing assets like land, buildings, equipment, and supplies for its intended purposes. In other words, the business has neither the intention nor the need to liquidate or curtail the scale of its operations. This is called the **going concern** assumption that would normally apply to most entities. This is how a business can buy assets with expectations to derive benefits from the use of the assets beyond the current financial period. An entity that is not continuing would be accounted for very differently from one that is a going concern.

What Exactly Are We Accounting For?

Alibaba's financial statements tell us how the business is performing and where it stands. But how do we arrive at the financial statements? Let's examine the elements of the financial statements, which are the building blocks on which these statements rest:

- **Assets** are economic resources controlled by the entity that are expected to produce a benefit in the future. Examples of assets include cash, inventory, account receivables (money owed to the entity by its debtors), machinery, equipment, and properties.
- **Liabilities** are present obligations of the entity that are expected to result in an outflow of economic benefits from the entity, i.e., something the company owes (to a party outside the company). Examples of liabilities include bank loans, accounts payable (money owed by the entity to its creditors), and other obligations.
- **Equity** is what's left of the assets after deducting liabilities; it represents shareholder's residual claim to the entity's assets. You will find two major sub-parts in the equity section: **share capital** and **retained earnings**. Share capital is the amount shareholders have invested in the entity (by purchasing shares or stock), and retained earnings is the amount earned by income-producing activities and kept for use in the business.
- **Income** refers to increases in economic benefits during an accounting period, i.e., increases in assets or decreases in liabilities that result in an increase in equity, other than those related to transactions with shareholders. The *Conceptual Framework* further separates

income into **revenue** and **gains**. Revenue arises from the ordinary course of business (such as sales revenue), whereas gains are typically outside the ordinary course of business (such as gain on disposal of a subsidiary).

- **Expenses** are decreases in economic benefits during an accounting period, i.e., decreases in assets or increases in liabilities that result in a decrease in equity, other than those related to transactions with shareholders. Similarly, expenses can be incurred in the ordinary course of business (such as salaries and wages, rent, and other expenses), whereas **losses** may or may not be in the ordinary course of business, such as loss on disposal of a long-term asset). Similar to gains, losses are reported on a net basis.

The *Conceptual Framework* essentially provides guidance on how and when to recognize items on financial statements. An item is recognizable if (a) it is probable that any future economic benefit associated with the item will flow to or from the entity; and (b) the item has a cost or value that can be measured with reliability.

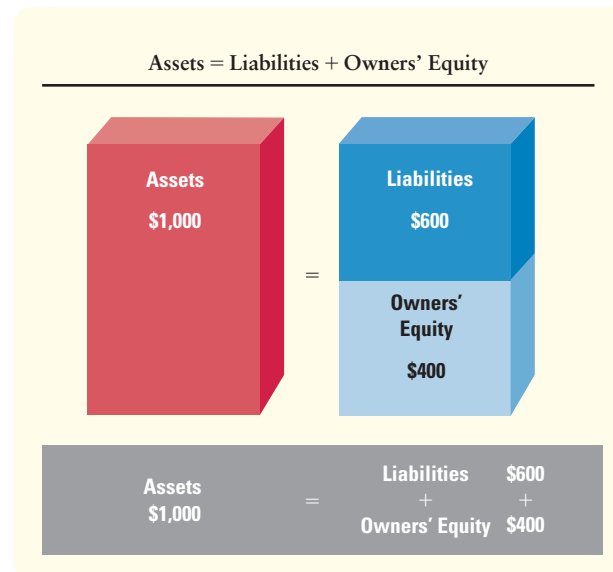
Information about financial position (assets, liabilities, and equity) is primarily provided in a **Balance Sheet**, whereas information about financial performance (income and expenses) is primarily provided in an **Income Statement**. We will examine financial statements later in this chapter.

Now that you have a basic understanding of the *Conceptual Framework*, let's see how the elements of financial statements are interconnected and reported.

Accounting Equations

The basic **accounting equation** shows the relationship that exists among assets, liabilities, and equity. Assets appear on the left side, and liabilities and owners' equity appear on the right. The accounting equation can be written as $\text{Assets} = \text{Liabilities} + \text{Equity}$, or alternatively, $\text{Assets} - \text{Liabilities} = \text{Equity}$. As Exhibit 1-4 shows, the two sides must be equal. This is the underlying premise of the double-entry system of bookkeeping where total debits will always equal total credits. In this example, the entity's assets of \$1,000 are financed by liabilities of \$600 and equity of \$400. We refer to equity as owner's equity or shareholders' equity.

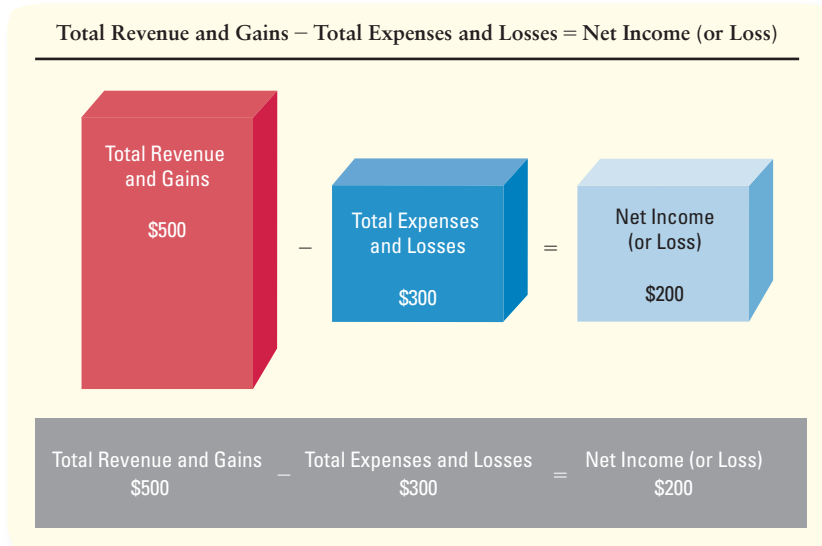
Exhibit 1-4 | The Accounting Equation (1)



A second accounting equation relates to the calculation of profits earned by an entity during a financial period. Profit is simply Income (Revenue and Gains) less Expenses (Expenses and Losses). Exhibit 1-5 shows that a profit of \$200 resulted from a total revenue of \$500 and expenses of \$300. When total revenues exceed total expenses, the result is called **net income**, or

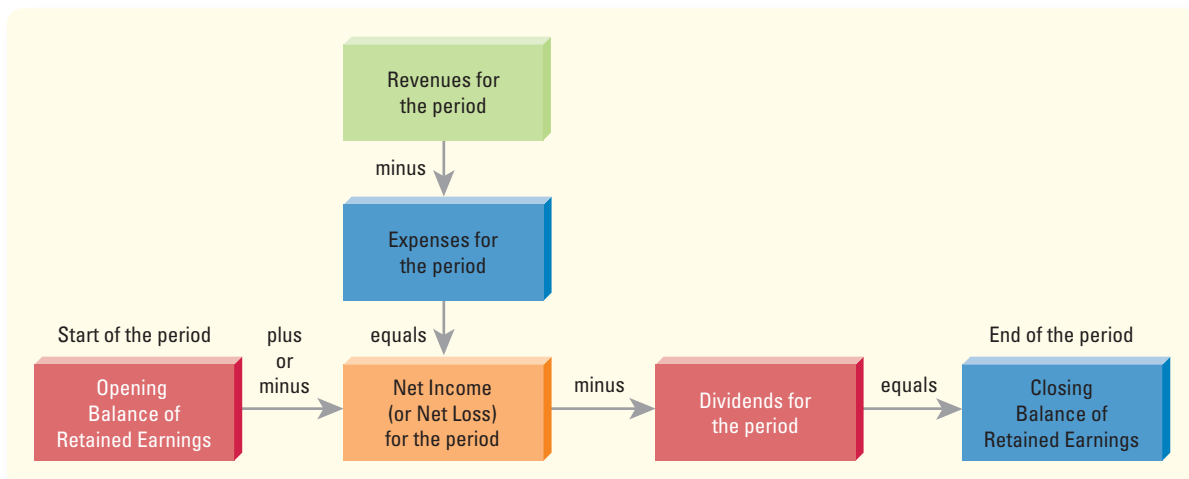
net profit. When expenses exceed revenues, the result is called **net loss**. In accounting, the word **net** refers to an amount after a subtraction. **Net income** is, thus, the profit left over after subtracting expenses and losses from revenues and gains.

Exhibit 1-5 | The Accounting Equation (2)



Recall that the *Conceptual Framework* states that income increases equity, whereas expenses decrease equity. This is usually shown as an increase in *retained earnings* for net income or a decrease in retained earnings for net loss. **Retained earnings** are a percentage of net income and are *retained* by the company for reinvestment or debt payment. A successful business usually pays **dividends** to shareholders (when there is an increase in retained earnings) as a return on their investments, usually in the form of cash. Dividends are recorded as direct reductions of retained earnings. Remember that just as capital contribution from shareholders to the company is not income, dividend distribution is not an expense and will never affect net income. Exhibit 1-6 shows the movement in retained earnings over an accounting period.

Exhibit 1-6 | The Components of Retained Earnings



» Stop & Think

- (1) If the assets of a business are \$480,000 and the liabilities are \$160,000, how much is the owners' equity?
- (2) If the owners' equity in a business is \$160,000 and the liabilities are \$100,000, how much are the assets?
- (3) A company reported monthly revenues of \$365,000 and expenses of \$225,000. What is the result of operations (net income) for the month?
- (4) If the beginning balance of retained earnings is \$180,000, revenue is \$85,000, expenses total \$35,000, and the company pays a \$20,000 dividend, what is the ending balance of retained earnings?

Answers:

- (1) \$320,000 (\$480,000 – \$160,000)
- (2) \$260,000 (\$160,000 + \$100,000)
- (3) Net income of \$140,000 (\$365,000 – \$225,000); revenues minus expenses
- (4) \$210,000 [\$180,000 beginning balance + net income \$50,000 (\$85,000 – \$35,000) – dividends \$20,000]

OBTAIN INSIGHTS INTO BUSINESS OPERATIONS THROUGH FINANCIAL STATEMENTS

3 Obtain insights into business operations through financial statements

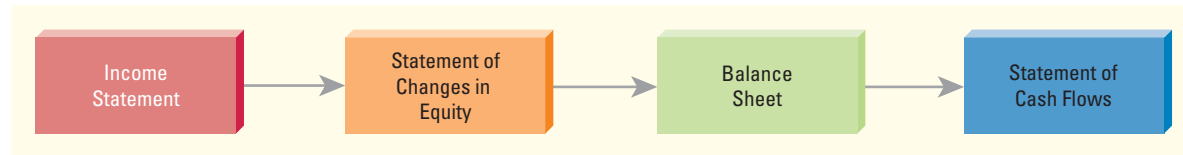
Financial statements present an entity to the public in financial terms. Each financial statement relates to a specific date or time period. Now, what would investors want to know about Alibaba at the end of its financial year? Exhibit 1-7 lists four questions decision makers may ask. Each answer comes from one of the financial statements.

Exhibit 1-7 Questions from Decision Makers

Question	Financial Statement	Answer
1. How well did the company perform during the year?	Statement of Comprehensive Income (which consists of two parts: Income Statement and Other Comprehensive Income)	$\begin{aligned} &\text{Revenues} \\ &\quad - \text{Expenses} \\ &\hline &\text{Net income (or Net loss)} \\ &\pm \text{Other Comprehensive Income} \\ &\hline &= \text{Total Comprehensive Income} \end{aligned}$
2. Why did the company's equity change during the year?	Statement of Changes in Equity	$\begin{aligned} &\text{Beginning Equity} \\ &+ \text{Total Comprehensive Income} \\ &- \text{Dividends} \\ &\pm \text{Capital Transactions (sale of an asset/revaluation of an asset) with owners} \\ &\hline &= \text{Ending Equity} \end{aligned}$
3. What is the company's financial position at the end of the financial year?	Statement of Financial Position (usually called Balance Sheet)	Assets = Liabilities + Equity
4. How much cash did the company generate and spend during the year?	Statement of Cash Flows	$\begin{aligned} &\text{Operating Cash Flows} \\ &\pm \text{Investing Cash Flows} \\ &\pm \text{Financing Cash Flows} \\ &\hline &= \text{Net Cash Flows} \end{aligned}$

To learn how to use financial statements, let's work through Alibaba's statements for the 2016 financial year (ended March 31, 2016). For your first reading of financial statements, we have simplified some of the items in the financial statements. You will get to see more detailed disclosures as you progress in your study of financial accounting. Exhibit 1-8 shows how the financial information flows from one financial statement to the next. The order is important.

Exhibit 1-8 | Flow of Financial Information



We begin with the Income Statement, shown at the beginning of this chapter, duplicated as Exhibit 1-9.

Exhibit 1-9 | Alibaba's Income Statement

A1				
	A	B	C	D
1	Alibaba Group Holdings Limited	Year Ended March 31		
2	Consolidated Income Statement			
3	(Adapted, in millions of ¥ and US\$)	Mar. 31, 2015	Mar. 31, 2016	Mar. 31, 2016
4	Revenue	¥ 76,204	¥ 101,143	\$ 15,686
5	Cost of revenue	(23,834)	(34,355)	(5,328)
6	Product development expenses	(10,658)	(13,788)	(2,138)
7	Sales and marketing expenses	(8,513)	(11,307)	(1,753)
8	General and administrative expenses	(7,800)	(9,205)	(1,428)
9	Amortization of intangible assets	(2,089)	(2,931)	(455)
10	Impairment of goodwill	(175)	(455)	(71)
11	Income from operations	23,135	29,102	4,513
12	Other income	2,486	2,058	319
13	Interest and investment income	9,455	52,254	8,104
14	Interest expense	(2,750)	(1,946)	(301)
15	Share of results of equity investees	(1,590)	(1,730)	(269)
16	Income tax expenses	(6,416)	(8,449)	(1,310)
17	Net income	¥ 24,320	¥ 71,289	\$ 11,056

The Income Statement Shows a Company's Financial Performance

The Income Statement, which is part of the **Statement of Comprehensive Income**, reports revenues and expenses for the period. The bottom line is net income or net loss for the period. At the top of Exhibit 1-9 is the company's name, Alibaba Group Holdings Limited. On the second line is the term "Consolidated Income Statement." Alibaba is actually made up of several corporations that are owned by a common group of shareholders. Commonly controlled corporations like this are required to combine, or consolidate, all of their revenues, expenses, assets, liabilities, and shareholders' equity, and to report them all as if they were one combined entity.

The dates of Alibaba's Consolidated Income Statement are for the (financial/fiscal) "Year Ended March 31, 2016 and 2015." In this case, Alibaba's financial year (April 1, 2015, to March 31, 2016) is not the same as the calendar year (which would have been January 1, 2016, to December 31, 2016). You will see other companies using different year-end dates. For example, many companies such as Samsung Electronics, SAP, and Jollibee use the same calendar and fiscal year, and thus have a December 31 year-end. Other companies may use other dates, Wal-Mart uses January 31 as its fiscal year-end, FedEx uses May 31, and Steinhoff uses June 30. Some

companies use a 52- or 53-week financial period ending nearest to a particular date. For example, Ahold NV uses the Sunday nearest to December 31 and Walt Disney uses the Saturday nearest to September 30 as their respective year-end dates. Usually, companies attempt to end their fiscal year in their least busy period. Don't fret too much about the different dates, what is more important is that all the financial statements are prepared on an annual basis.

You will also notice that Alibaba presented its accounts in billions of Renminbi as well as the U.S. dollar equivalent for additional information. It also presented two years of information, 2016 and 2015, to show comparable figures for revenues, expenses, and net income. We shall focus our discussions on the 2016 financial year, but the numbers are clearly more meaningful if you compare them to what was achieved in 2015. Let's examine Alibaba's Income Statement in more detail.

Income. Alibaba's first line in its Consolidated Income Statement was simply the total revenue of ¥101,143 million for the financial year ended March 31, 2016. Alibaba's revenue has increased from ¥76,204 to ¥101,143. Revenues do not always carry the word "revenue" in their titles. For example, net sales revenue is often abbreviated as net sales. Net sales means sales revenue after subtracting all the goods customers have returned to the company.

Other income items may consist of peripheral income generation activities, such as financial and travel services, rental income, and royalty fees. You can't quite figure this out from the Income Statement, but additional information is usually disclosed in the reporting entity's Notes to the Accounts, which gives additional information about accounting policies, breakdown of totals, etc. You will see examples of Notes to the Accounts in later chapters. Alibaba's Income Statement (lines 11 and 12) showed "Other income" of ¥2,058 million, and "Interest and investment income" of ¥52,254 million for 2016.

Expenses. Similarly, not all expenses have the word "expense" in their title. For example, Alibaba's expenses in lines 4, 8, and 9 do not have the word expense in them, but the expense nature is implied. Alibaba's biggest expense item is "cost of revenue." For the more traditional merchandisers, you may see the title Cost of Sales, Cost of Goods Sold, or Cost of Merchandise, which represents the costs of items sold. For example, a company like Toys-R-Us sells a plush toy costing \$30 for \$75. The sales revenue will be \$75, and the cost of goods sold will be \$30. Therefore, we can say that the **gross profit** is \$45 (\$75 less \$30).

In general, you may see companies report the following expenses:

- Selling, general, and administrative expenses are the costs of everyday operations that are not directly related to merchandise purchases. Many expenses may be included in this category, including labor costs, property rentals, maintenance and repairs, fees, advertising, consumables, and other general expenses.
- Interest expenses (also labeled as borrowing costs or finance costs) represent the cost of borrowing money via bank loans or other debt instruments.
- For companies that do research and development (R&D) work, you may see R&D expenses listed. Microsoft spends about 13% of its revenue on R&D, Samsung about 6%, and Apple about 3%.
- Companies may also have other operating expenses that consist of other aggregated expenses, such as losses from disposing its assets and donations.
- Income tax expense is the expense levied on a company's income by the tax authorities. Taxation rules can be complicated, especially for a global corporation with businesses around the world, and the amount of income subject to taxation (called taxable income) is not always equal to net income. (Chapter 9 covers this aspect in more detail.)

Profits. Income Statements may show a few variations of profit. Many retailers would report a gross profit, which is basically sales revenue less cost of sales. After subtracting other operating expenses (and sometimes other lines of income), a company may report an **operating profit**. Alibaba's operating profit is shown on line 10 at ¥29,102 million. Non-operating income and expenses come next—typically interest expense and income, share of results of equity investees (more on this in Chapter 8), and tax expenses. The "bottom line" here would be the net profit, i.e., profit after subtracting all expenses from all income items. Alibaba's net profit, or net income, is shown on line 16, at ¥71,289 million.



A Closer Look

Names of Financial Statements

The official terminologies are Statement of Financial Position, Statement of Comprehensive Income, Statement of Changes in Equity, and Statement of Cash Flows. However, the Standard allows other titles to be used. You may find that some companies will continue to use the more common names such as Balance Sheet.

Statement of Comprehensive Income and Statement of Changes in Equity

IAS 1—Presentation of Financial Statements requires that only transactions with owners (in their capacity as owners) are presented in the Statement of Changes in Equity. All other non-owner changes in equity are now presented in the Statement of Comprehensive Income, which can be shown as a single statement (i.e., Statement of Comprehensive Income) or two statements (Income Statement, followed by Statement of Comprehensive Income, which will begin with the net profit or loss from the Income Statement).

For simplicity, we shall continue to use the term Balance Sheet for Statement of Financial Position and Income Statement to refer to the first portion of the Statement of Comprehensive Income. We shall discuss more of this distinction later in Chapter 4.

Now, let's examine the Statement of Changes in Equity.

The Statement of Changes in Equity Shows a Company's Transactions with its Owners

Recall that the equity is the owner's residual interest in the entity after deducting liabilities. Profits that a company generates ultimately belong to the owners of the company. Shareholders are happy when their wealth in the company increases. In 2016, Alibaba generated a profit of ¥71,289 million. Let's see how this is reflected in its **Statement of Changes in Equity** (see Exhibit 1-10).

Exhibit 1-10 | Alibaba's Changes in Equity

A1				
	A	B	C	D
1	Alibaba Group Holdings Limited Consolidated Statement of Changes in Equity	Financial Year Ended March 31		
2	(Adapted, in millions of ¥ and \$)	2015	2016	2016
3	Balance as of 1 April preceeding year	¥ 30,417	¥ 158,071	\$ 25,393
4	Issuance of shares (Initial Public Offering)	61,536	–	–
5	Net income for the year	24,320	71,289	11,056
6	Other equity movements	41,798	20,529	2,305
7	Balance as of 31 March	¥ 158,071	¥ 249,889	\$ 38,754
8				

Alibaba started the 2016 financial year with the 2015 ending balance of total equity: ¥158,071 million. You can see that the same number appears at the end of 2015 and at the start of 2016. Net income or net loss flows from the Income Statement to the Statement of Changes in Equity (line 5). Take a moment to trace these two amounts from the Statement of Changes in Equity to the Income Statement (see line 16 in Exhibit 1-9). You can see that net income increases total equity, and if you have any net losses, it will decrease total equity.

Line 4 was Alibaba's record-setting Initial Public Offering on the New York Stock Exchange in 2015. We simplify a few things into line 6 for now. It included a number of items that relate to the impact of fluctuations of foreign currency, fair value changes in financial instruments, and/or other transactions with shareholders.

After a company earns its net income, its board of directors decides if the company should pay a dividend to the shareholders. Corporations are not obligated to pay dividends unless their boards decide to pay (i.e., declare) them. Usually, companies that are in development stages or growth mode elect not to pay dividends, opting instead to plough the money back into the company to expand operations or to purchase property, plant, and equipment. Established companies usually have regular earnings (and cash) to pay dividends. Dividends decrease retained earnings because they represent a distribution of a company's assets (usually cash) to its shareholders. Alibaba has stated that it will not be paying any dividends for now, so you do not see any dividends going out from its equity.

The Balance Sheet Shows a Company's Financial Position

A company's Balance Sheet, also called the **Statement of Financial Position**, reports three groups of items: in Exhibit 1-11, assets (lines 3–14), liabilities (lines 15–25), and shareholders' equity (lines 26–30). Alibaba's Consolidated Balance Sheet, in Exhibit 1-11, is dated March 31, 2016 and 2015, as financial position is always for a specific point in time, unlike an Income Statement, which covers a period of time.

Exhibit 1-11 | Alibaba's Balance Sheet

A1				
	A	B	C	D
1	Alibaba Group Holdings Limited	As of March 31		
2	Consolidated Balance Sheets			
3	(Adapted, in millions of ¥ and US\$)	2015	2016	2016
4	Assets:			
5	Cash and cash equivalents	¥ 108,193	¥ 106,818	\$ 16,566
6	Short-term investments	17,806	8,878	1,377
7	Accounts receivable	1,067	1,209	188
8	Other current assets	15,043	17,165	2,661
9	Total current assets	142,109	134,070	20,792
10	Property, plant and equipment	12,244	16,505	2,560
11	Long-term investments	48,488	120,853	18,742
12	Intangible assets	48,508	87,015	13,495
13	Other non-current assets	4,085	6,007	932
14	Total non-current assets	113,325	230,380	35,729
15	Total assets	255,434	364,450	56,521
16	Liabilities:			
17	Accounts payable and accruals	19,834	27,334	4,240
18	Short-term bank borrowings	1,990	4,304	667
19	Income tax payable	2,733	2,790	433
20	Customer deposits and advances	15,115	17,611	2,731
21	Total current liabilities	39,672	52,039	8,071
22	Long-term bank borrowings	1,609	1,871	290
23	Other borrowings	48,994	51,596	8,002
24	Other non-current liabilities	7,088	9,055	1,404
25	Total non-current liabilities	57,691	62,522	9,696
26	Total liabilities	97,363	114,561	17,767
27	Equity:			
28	Share capital	117,143	132,207	20,504
29	Retained earnings	24,842	78,752	12,213
30	Other equity items	16,086	38,930	6,037
31	Total equity	158,071	249,889	38,754
32	Total liabilities and equity	¥ 255,434	¥ 364,450	\$ 56,521

Before we proceed, let's just make sure Alibaba's accounting equation is correct. At March 31, 2016, it has total assets of ¥364,450 million (line 14), which is financed by total liabilities of ¥114,561 million (line 25) and equity of ¥249,889 million (line 30). So we can prove that Alibaba's Assets = Liabilities + Equity. Alternatively, we can say that Alibaba's shareholders have a net claim of ¥249,889 million to the total assets of ¥364,450 million after deducting liabilities of ¥114,561 million. This relationship will always remain true at all times. You can do the same for the previous year's assets, liabilities, and equity.

Assets. There are two main categories of assets: current and non-current (sometimes referred to as long-term) assets. **Current assets** are assets that are expected to be converted to cash, sold, or consumed during the next 12 months. Current assets typically include cash, short-term investments, receivables (also called debtors), inventory, and prepaid expenses. Alibaba's total current assets at March 31, 2016, were ¥134,070 million (line 8). Let's have a quick look at Alibaba's current assets:

- All companies have (and need) cash. **Cash** is the most liquid asset that's a medium of exchange, and cash equivalents include money-market accounts or other financial instruments that are easily convertible to cash. Alibaba owns ¥106,818 million in cash and cash equivalents at March 31, 2016 (line 4).
- Alibaba has a number of short-term investments that we have summarized in line 5 amounting to ¥8,878 million. This includes its investments in fixed deposits, money market funds, or other investments.
- Accounts receivable refer to the amount of cash the company expects to collect from its debtors. Alibaba has trade and other receivables totaling ¥1,209 million (line 6). Sometimes you may see certain companies use the term "debtors" to describe account receivables. Often, companies will also distinguish between trade and other receivables. Trade receivables are usually amounts due from customers, in the context of trading activities. We'll discuss accounts receivable further in Chapter 5. You may also often come across the term notes receivable, which is the amount a company expects to collect from a party who has signed a promissory note to that company and, therefore, owes it money. Alibaba doesn't own any notes receivable.
- For simplicity, we have summarized other current assets into one line as "other current assets" (line 7) amounting to ¥17,165 million. Typically, this could include items such as prepaid expenses and deposits placed with a landlord or business. Prepaid expenses or prepayments represent amounts paid in advance for advertisements, rent, insurance, and supplies. Prepaid expenses are current assets because Alibaba will benefit from these expenditures in the next financial year. We will discuss more about prepayments in Chapter 3.

The main categories of long-term or non-current assets are **property, plant and equipment (PPE)** (line 9), long-term investments (line 10), intangible assets (line 11), and other non-current assets. We will examine PPE and intangibles in greater detail later (in Chapter 7), and also investments (in Chapter 8). Let's have a quick look at what non-current assets Alibaba has on its Balance Sheet:

- Property, plant and equipment (PPE, or sometimes referred to as fixed assets) of ¥16,505 million includes Alibaba's land use rights, buildings, equipment, fixtures, and fittings and installations. PPE conveys economic benefits over the useful lives of its components, and their acquisition costs are allocated systematically throughout their useful lives. This process is called depreciation. The cumulative amounts that have been previously allocated are called accumulated depreciation. On the Balance Sheet, it is shown net at ¥16,505 million.
- Long-term investments include Alibaba's investments in its affiliates and associates, as well as investments in other forms of financial assets. This amounts to ¥120,853 million. We discuss investments (both short-term and long-term) in Chapter 8.
- Intangibles are assets with no physical form, such as patents, trademarks, and goodwill. Alibaba has ¥87,015 million of intangibles, mostly in the form of intellectual property rights and goodwill on acquisitions of subsidiaries.

- Again, for simplicity, we have combined various other non-current assets into one account (line 12). These include long-term prepayments, deferred tax assets, and other non-current financial assets.

Overall, Alibaba reports total assets of ¥364,450 million at March 31, 2016.

Liabilities. Liabilities are also divided into current and non-current categories. Current liabilities (lines 20–23) are obligations or debts payable within one year. **Current liabilities** typically include accounts such as accounts payable, taxes payable, and other liabilities like short-term notes payable and salaries/wages payable. Non-current liabilities are obligations that are likely to require an outflow of economic benefits after one financial year:

- Accounts payables and accruals (line 16) are the amount due to Alibaba’s creditors, including its suppliers and other service providers. This amounts to ¥27,334 million, clearly Alibaba’s largest current liability. Similar to receivables, sometimes you will see companies further classifying payables into trade payables (or Creditors), notes payable, and other payables.
- Alibaba has total bank borrowings of ¥6,175 million, of which ¥4,304 million is due within the next financial year (line 17) and ¥1,871 million of long-term debt due beyond the next financial year (line 21). While you see two line items on this Balance Sheet, it does not necessarily mean that Alibaba has two (and only two) distinct loans. Even if Alibaba only has one financing arrangement, as long as there is some amount due in the next financial year, it will disclose the current portion separately from the non-current portion. Similarly, Alibaba may have a number of long-term loans, and the figures on the Balance Sheet are the aggregate amounts of the various long-term loans it has.
- Income tax payable (lines 18) of ¥2,790 million is the amount due to various tax authorities.
- Customer deposits and advances (line 19) are funds paid in advance by customers. In Chapter 3, we will see how accrual accounting works, but for now, just remember that until Alibaba has performed its obligations (either supplying goods or providing services) to its customers, this amount remains as a liability because it is a form of financial obligation. When the goods or services are delivered, Alibaba would then earn the money.
- Other liabilities (lines 19, 22, and 23) comprise provisions, pre-collected revenue (or unearned revenue) resulting from customer deposits and advances, and other long-term liabilities. We will discuss unearned revenue in Chapter 3 and look at provisions and other long-term liabilities in Chapter 9.

Overall, Alibaba reports total liabilities of ¥114,561 million as of March 31, 2016 (line 25). You may recall earlier that the total assets were ¥364,450 million. This means that almost 31% of Alibaba’s assets are financed by liabilities.

Shareholders’ Equity. Earlier you have seen the reconciliation of movement in total equity in the last two financial years (Exhibit 1-10). You can check that the total equity figures at the end of 2015 and 2016 financial year (line 30 of Exhibit 1-11) tally with line 7 of Exhibit 1-10. Alibaba’s equity consists of:

- Capital. **Paid-in capital** (sometimes labeled share capital or simply capital) of ¥132,207 million (line 27). This is the amount raised as capital contributions from Alibaba’s shareholders. Some companies may have different types of share capital, and would label them as ordinary share capital or preference shares (also called “preferred stock” and “common stock,” respectively). We will examine equity items and transactions later (in Chapter 10).
- Retained earnings totaled ¥78,752 million (line 28). Recall our earlier discussions on retained earnings (see Exhibit 1-6). Retained earnings records the cumulative earnings of the entity less the dividends it has paid out.
- In Alibaba’s Balance Sheet, we have combined a number of items under the headings “Other equity items” (which includes various reserves and non-controlling interests). The

detailed breakdown of the other items is beyond what we want to cover for now. We will explore more in Chapter 10.

On the whole, the Balance Sheet summarizes the following elements of accounting: assets, liabilities, and equity (net income or loss, i.e., income and expenses for the period).

The Statement of Cash Flows Shows a Company's Cash Receipts and Payments

Finally, the Statement of Cash Flows is the fourth, required financial statement. Alibaba's cash flow statement is shown in Exhibit 1-12. We will examine the components of various cash flow activities in detail later (in Chapter 11). For now, we will discuss the overall concept.

CASH
FLOW

Exhibit 1-12 | Alibaba's Statement of Cash Flows

A1				
	A	B	C	D
1	Alibaba Group Holdings Limited		Year Ended March 31	
2	Consolidated Statement of Cash Flows			
3	(Adapted, in millions of ¥ and US\$)		2015	2016
4	Net income	¥ 24,320	¥ 71,289	\$ 11,056
5	Adjustments and changes in working capital	16,897	(14,453)	(2,241)
6	Net cash provided by operating activities	41,217	56,836	8,815
7	Net cash used by investing activities	(53,454)	(42,831)	(6,643)
8	Net cash provided/used by financing activities	87,497	(15,846)	(2,457)
9	Effect of exchange rate changes	(112)	466	72
10	Net cash flows for the period	75,148	(1,375)	(213)
11	Cash and cash equivalents at beginning of the year	33,045	108,193	16,779
12	Cash and cash equivalents at end of the year	¥ 108,193	¥ 106,818	\$ 16,566

Companies engage in three basic types of activities: **operating activities**, **investing activities**, and **financing activities**. The **statement of cash flows** reports cash flows under each of these activities. In this statement, the use of parentheses around figures indicates money going out, and the absence of parentheses indicates money coming in. Think about the cash flows (receipts and payments) in each category:

- Companies operate by selling goods and services to customers; these are called operating activities. Operating activities either increase or decrease cash. The Income Statement tells us whether the company is profitable, but this does not necessarily mean the company has been able to generate cash from operations. Sooner or later, to be successful, a company will need to bring in cash from its operations. For now, we will calculate cash flow from operating activities as an adjustment (line 4) to net income (line 3). Alibaba generated cash from operations totaling ¥56,836 million in the financial year ended March 31, 2016.
- Companies also invest in non-current assets such as property, plant and equipment, or make other long-term investments. Both purchases and sales of long-term assets are investing cash flows. Cash flows from investing activities show a company's investments into its production capacity. Alibaba used ¥42,831 million in its investing activities.
- Companies need to raise money from financing. Financing comes from both equity owners and borrowings. Alibaba's cash flows from financing activities would include any issuance of shares, repurchase of shares, as well as proceeds and repayments of borrowings.



For companies that pay dividends, you will also see dividend payments included as a cash flow from financing. Alibaba's net cash used by financing activities amounted to ¥15,846 million.

- Overall, Alibaba's cash decreased by about ¥1,375 million in financial year ended March 31, 2016, compared to a significant increase of ¥75,148 million the previous year when it went for its initial public offering (IPO).
- The cash flow statement also provides a reconciliation back to the cash and cash equivalent balances at the beginning and end of the year. You can trace lines 10 and 11 in Exhibit 1-12 back to line 4 in Exhibit 1-11. You can see that because net cash flow saw a decrease of ¥1,375 million, ending cash and cash equivalents is now less than the beginning balance (from ¥108,193 to ¥106,818 million).

Let's now summarize the relationships that link the financial statements.

IDENTIFY FINANCIAL STATEMENTS AND THEIR INTER-RELATIONSHIPS

4

Identify financial statements and their inter-relationships

Exhibit 1-13 summarizes the relationships among the financial statements of Alibaba for the financial year ended March 31, 2016. These statements are condensed, so the details of Exhibits 1-9 through 1-12 are omitted. Study the exhibit carefully because these relationships apply to all organizations. Specifically, note the following:

1. The Income Statement for the 12 months ended March 31, 2016
 - a. Reports total income and expenses of the year. Income and expenses are reported only on the Income Statement.
 - b. Reports net income if total revenues exceed total expenses. If expenses exceed income, there will be a net loss.
2. The Statement of Changes in Equity for the 12 months ended March 31, 2016
 - a. Begins with the total equity at the start of the financial year (which is the ending balance of the previous financial year).
 - b. Adds net income (or subtracts net loss). Net income comes directly from the Income Statement (arrow ① in Exhibit 1-13).
 - c. Adds and subtracts any transactions with owners, as appropriate. For example, if there is new capital issued during the year, or if there are dividends paid during the year.
 - d. Ends with the total equity at the end of the financial year (which will be the beginning balance for the next financial year).
3. The Balance Sheet at March 31, 2016
 - a. Reports assets, liabilities, and shareholders' equity at the end of the year. Only the Balance Sheet reports assets and liabilities.
 - b. Reports that assets equal the sum of liabilities plus equity (or alternatively, assets less liabilities equal equity). This balancing feature follows the basic accounting equation and gives the Balance Sheet its name.
 - c. Reports total equity, which comes from the Statement of Changes in Equity (arrow ② in Exhibit 1-13).
4. The Statement of Cash Flows for the year ended March 31, 2016
 - a. Reports cash flows from operating, investing, and financing activities. Each category results in net cash provided (an increase) or net cash used (a decrease).
 - b. Reports whether cash has increased (or decreased) during the year.
 - c. When the net cash increase (or decrease) is added to the beginning cash and cash equivalent balance, it will show the cash and cash equivalents at the end of the year, as reported in the Balance Sheet (arrow ③ in Exhibit 1-13).

Exhibit 1-13 Relationships Among the Financial Statements

A1				
	A	B	C	D
1	Alibaba Group Holdings Limited Consolidated Income Statement	Financial Year Ended March 31		
2	(Adapted, in millions of ¥ and US\$)	2015	2016	2016
3	Total income	¥ 88,145	¥ 155,455	\$ 24,109
4	Total expenses	(63,825)	(84,166)	(13,053)
5	Net income	¥ 24,320	¥ 71,289	\$ 11,056
6				

A1				
	A	B	C	D
1	Alibaba Group Holdings Limited Consolidated Statement of Changes in Equity	Financial Year Ended March 31		
2	(Adapted, in millions of ¥ and US\$)	2015	2016	2016
3	Balance as of 1 April preceeding year	¥ 30,417	¥ 158,071	\$ 25,393
4	Issuance of shares (Initial Public Offering)	61,536	–	–
5	Net income for the year	24,320	71,289	11,056
6	Other equity movements	41,798	20,529	2,305
7	Balance as of 31 March	¥ 158,071	¥ 249,889	\$ 38,754
8				

A1				
	A	B	C	D
1	Alibaba Group Holdings Limited Consolidated Balance Sheets	As of March 31		
2	(Adapted, in millions of ¥ and US\$)	2015	2016	2016
3	Assets:			
4	Cash and cash equivalents	¥ 108,193	¥ 106,818	\$ 16,566
5	All other assets	147,241	257,632	39,955
6	Total assets	255,434	364,450	56,521
7	Total liabilities	97,363	114,561	17,767
8	Total equity	158,071	249,889	38,754
9	Total liabilities and equity	¥ 255,434	¥ 364,450	\$ 56,521
10				

A1				
	A	B	C	D
1	Alibaba Group Holdings Limited Consolidated Statement of Cash Flows	Financial Year Ended March 31		
2	(Adapted, in millions of ¥ and US\$)	2015	2016	2016
3	Net cash provided by operating activities	¥ 41,217	¥ 56,836	\$ 8,815
4	Net cash used by investing activities	(53,454)	(42,831)	(6,643)
5	Net cash provided/used by financing activities	87,497	(15,846)	(2,457)
6	Effect of exchange rate changes	(112)	466	72
7	Net cash flows for the period	75,148	(1,375)	(213)
8	Cash and cash equivalents at beginning of the year	33,045	108,193	16,779
9	Cash and cash equivalents at end of the year	¥ 108,193	¥ 106,818	\$ 16,566
10				



DECISION GUIDELINES

IN EVALUATING A COMPANY, WHAT DO DECISION MAKERS LOOK FOR?

These Decision Guidelines illustrate how people use financial statements. Decision Guidelines appear throughout the text to show how accounting information aids decision making.

Suppose you are considering an investment in Alibaba. How do you proceed? Where do you get the information you need? What do you look for?

Decision	Guidelines
1. Can the company sell its products?	1. Sales revenue on the Income Statement. Are sales growing or falling?
2. What are the main income measures to watch for trends?	2. a. Gross profit (Sales – Cost of goods sold) b. Operating income (Gross profit – Operating expenses) c. Net income (bottom line of the Income Statement) All three income measures should be increasing over time.
3. What percentage of sales revenue ends up as profit?	3. Divide net income by sales revenue. Examine the trend of the net income percentage from year to year.
4. Can the company collect its receivables?	4. From the Balance Sheet, compare the percentage increase in accounts receivable to the percentage increase in sales. If receivables are growing much faster than sales, collections may be too slow, and the risk of defaults increases.
5. Can the company pay its a. Current liabilities? b. Current and long-term liabilities?	5. From the Balance Sheet, compare a. Current assets to current liabilities. Current assets should be somewhat greater than current liabilities. b. Total assets to total liabilities. Total assets must be somewhat greater than total liabilities.
6. Where is the company's cash coming from? How is cash being used?	6. On the cash flow statement, operating activities should provide the bulk of the company's cash during most years. Otherwise, the business will fail. Examine investing cash flows to see if the company is purchasing long-term assets—property, plant, and equipment, and intangibles (this usually signals potential growth).

5 Understand the role of ethics in accounting

UNDERSTAND THE ROLE OF ETHICS IN ACCOUNTING

Good business requires decision making, which in turn requires the exercise of good judgment, both at the individual and corporate levels. For example, you may work for or eventually run a company like Starbucks that has decided to devote 5 cents from every cup of coffee sold to helping save the lives of AIDS victims in Africa. Can that be profitable in the long run?

As an accountant, you may have to decide whether to record a \$50,000 expenditure for a piece of equipment as an asset on the Balance Sheet or an expense on the Income Statement. Alternatively, as a sales manager for a company like SAP, you may have to decide whether \$25 million of goods and services delivered to customers in 2018 would be more appropriately recorded as revenue in 2018 or 2019.

IFRS are “principles-based,” as opposed to U.S. GAAP, which are largely more “rules-based.” This puts greater emphasis on the importance of judgment in determining the appropriate

accounting recognition, measurement, and presentation. Depending on the type of business, the facts and circumstances surrounding accounting decisions may not always make them clear cut, and yet the decision may determine whether the company shows a profit or a loss in a particular period. What are the factors that influence business and accounting decisions, and how should these factors be weighed? Generally, three factors influence accounting decisions: economic, legal, and ethical.

The *economic* factor states that the decision being made should benefit the decision maker economically. Based on most economic theories, every rational person faced with a decision will choose the course of action that maximizes his or her own welfare, without regard to how that decision impacts others. In summary, the combined outcome of each person acting in his or her own self-interest will maximize the benefits to society as a whole.

The *legal* factor is based on the proposition that free societies are governed by laws. Laws are written to provide clarity and to prevent the abuse of the rights of individuals or society. Democratically enacted laws both contain and express society's collective moral standards. Legal analysis involves applying the relevant laws to each decision and then choosing the action that complies with those laws. A complicating factor for a global business may be that what is legal in one country might not be legal in another. In that case, it is usually best to abide by the laws of the most restrictive country.

The *ethical* factor states that while certain actions might be both economically profitable and legal, they may still not be right. Therefore, most companies, and many individuals, have established standards for themselves to enforce a higher level of conduct than that imposed by law. These standards govern how we treat others and the way in which we restrain our selfish desires. This behavior and its underlying beliefs are the essence of ethics. **Ethics** are shaped by our cultural, socioeconomic, and religious backgrounds. An *ethical analysis* is needed to guide judgment for making decisions.

The decision rule in an ethical analysis is to choose the action that fulfills ethical duties—responsibilities of the members of society to each other. The challenge in an ethical analysis is to identify specific ethical duties and stakeholders to whom you owe these duties. As with legal issues, a complicating factor in making global ethical decisions may be that what is considered ethical in one country is not considered ethical in another.

The questions you may ask in making an ethical analysis include:

- Which options are most honest, open, and truthful?
- Which options are most kind and compassionate and build a sense of community?
- Which options create the greatest good for the greatest number of stakeholders?
- Which options result in treating others as I would want to be treated?

Ethical training starts at home and continues throughout our lives. It is reinforced by the teaching that we receive in our churches, temples, synagogues, or mosques; by the schools we attend; and by the persons we associate with and the company we keep. A thorough understanding of ethics requires more study than we can accomplish in this book. However, remember that while making accounting decisions, do not leave your ethics at the door.

In business settings, ethics work best when modeled from the top. Ethisphere Institute (www.ethisphere.com) has recently established the Business Ethics Leadership Alliance (BELA), aimed at “reestablishing ethics as the foundation of everyday business practices.” BELA members agree to embrace and uphold four core values that incorporate ethics and integrity into all their practices: (1) Legal compliance; (2) Transparency; (3) Conflict identification; and (4) Accountability. Each year, Ethisphere Institute publishes a list of the World's Most Ethical Companies. The 2016 list includes corporations like L'Oréal, Accenture, H&M, 3M, Marks and Spencer, Cisco, Colgate-Palmolive Company, Dell Inc., GE, Tata Steel, LinkedIn, and UPS. As you begin to make your decisions about future employers, put these companies on your list! It's easier to act ethically when those you work for recognize the importance of ethics in business practices. These companies have learned from experience that, in the long run, ethical conduct pays big rewards, not only socially, morally, and spiritually, but economically as well.





DECISION GUIDELINES

DECISION FRAMEWORK FOR MAKING ETHICAL JUDGMENTS

Weighing tough ethical judgments in business and accounting requires a decision framework. Answering the following four elements will guide you through tough decisions:

Decision	Guidelines
1. What is the issue?	1. The issue will usually deal with making a judgment about an accounting measurement or disclosure that results in economic consequences, often to numerous parties.
2. Who are the stakeholders, and what are the consequences of the decision to each?	2. Stakeholders are anyone who might be impacted by the decision—you, your company, and potential users of the information (investors, creditors, regulatory agencies). Consequences can be economic, legal, or ethical in nature.
3. Weigh the alternatives.	3. Analyze the impact of the decision on all stakeholders, using economic, legal, and ethical criteria. Ask “Who will be helped or hurt, whose rights will be exercised or denied, and in what way?”
4. Make the decision and be prepared to deal with the consequences.	4. Exercise the courage to either defend the decision or to change it, depending on its positive or negative impact. How does your decision make you feel afterward?

To simplify, we might ask three questions:

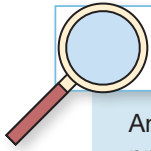
1. Is the action legal? If not, steer clear, unless you want to go to jail or pay monetary damages to injured parties. If the action is legal, go on to questions (2) and (3).
2. Who will be affected by the decision and how? Be as thorough about this analysis as possible, and analyze it from all three standpoints (economic, legal, and ethical).
3. How will this decision make me feel afterward? How would it make me feel if my family were to read about it in the newspaper?

In later chapters throughout the text, we will apply this model to different accounting decisions.

Code of Ethics for Professional Accountants

The decision framework for making ethical judgments provides general guidance for everyone, regardless of the profession or industry. Many professional organizations, businesses, and other entities adopt their own ethical guidelines or codes of conduct so that their employees have specific guidelines. One day you might become a member of a professional body like the national professional accounting body in your country of residence or any other international professional bodies. All professional accounting bodies have a Code of Ethics, which is almost universally based on the *Code of Ethics for Professional Accountants* as issued by the *International Ethics Standards Board for Accountants* (IESBA).

This code provides guidance to all members in the performance of their professional duties and is composed of several principles that form the basic building blocks of ethical and professional conduct. Even though you may not be an accounting major and may never be a member of a professional accounting body, the basic principles contained in its code can be applied to a wide range of professions and organizations. In your future career, you may also interact with Chartered Accountants (CAs) or Certified Public Accountants (CPAs), and it is helpful to understand the code of conduct that accountants are expected to adhere to.



A Closer Look

An excerpt from the Code is provided below as an introduction to the fundamental principles for ethical behavior.

A professional accountant shall comply with the following fundamental principles:

(a) Integrity

The principle of integrity imposes an obligation on all professional accountants to be straightforward and honest in all professional and business relationships. Integrity also implies fair dealing and truthfulness.

(b) Objectivity

The principle of objectivity imposes an obligation on all professional accountants not to compromise their professional or business judgment because of bias, conflict of interest, or the undue influence of others.

(c) Professional Competence and Due Care

The principle of professional competence and due care imposes an obligation on all professional accountants to maintain professional knowledge and skill at the level required to ensure that clients or employers receive competent professional service and to act diligently in accordance with applicable technical and professional standards when performing professional activities or providing professional services.

(d) Confidentiality

The principle of confidentiality imposes an obligation on all professional accountants to refrain from disclosing or employing confidential information, acquired as a result of professional and business relationships, outside the firm without proper and specific authority, or unless there is a legal or professional right or duty to disclose the information. They should also refrain from using the confidential information acquired as a result of professional and business relationships to their personal advantage or the advantage of third parties.

(e) Professional Behavior

The principle of professional behavior imposes an obligation on all professional accountants to comply with relevant laws and regulations and avoid any action that the professional accountant knows or should know may discredit the profession. This includes actions that a reasonable and informed third party, after weighing all the facts and circumstances available to the professional accountant at that time, would be likely to conclude adversely affects the good reputation of the profession.

End-of-Chapter

Summary Problem

Starr Williams started RedLotus Travel, Inc., on April 1, 20X8. Through April, the business provided services for customers. It is now April 30, and investors wonder how well RedLotus, Inc., performed during its first month. The investors also want to know the company's financial position at the end of April and its cash flows during the month.

The following data are listed in alphabetical order. Prepare the RedLotus, Inc., financial statements at the end of April 20X8.

Accounts payable	\$ 1,800	Land.....	\$20,000
Accounts receivable.....	2,000	Payments of cash:	
Adjustments to reconcile net		Acquisition of land.....	40,000
income to net cash provided		Dividends.....	2,100
by operating activities	(5,900)	Rent expense	1,100
Cash balance at beginning of April.....	0	Retained earnings at beginning	
Cash balance at end of April	?	of April	0
Cash receipts:		Retained earnings at end of April.....	?
Issuance (sale) of shares to owners...	50,000	Salary expense.....	1,200
Sale of land	22,000	Service revenue.....	10,000
Share capital.....	50,000	Supplies.....	3,700
Gain on sale of land	2,000	Utilities expense	400

Requirements

1. Prepare the Income Statement, the Statement of Changes in Equity, and the Statement of Cash Flows for the month ended April 30, 20X8, and the Balance Sheet at April 30, 20X8. Draw arrows linking the statements.
2. Answer the following questions:
 - a. How well did RedLotus perform during its first month of operations?
 - b. Where does RedLotus stand financially at the end of April?

Answers

Requirement 1

Financial Statements of RedLotus Travel, Inc.

A1	A	B	C	D
1	RedLotus Travel, Inc.			
2	Income Statement			
3	Month Ended April 30, 20X8			
4	Revenue:			
5	Service revenue		\$ 10,000	
6	Gain on sale of land		\$ 2,000	
7	Expenses:			
8	Salary expense	\$ 1,200		
9	Rent expense	1,100		
10	Utilities expense	400		
11	Total expenses		2,900	
12	Net Income		\$ 9,300	

A1	A	B	C	D
1	RedLotus Travel, Inc.			
2	Statement of Changes in Equity			
3	Month Ended April 30, 20X8			
4	Total equity, April 1, 20X8		\$ 0	
5	Add: Issuance of share capital		50,000	
6	Add: Net income for the month		9,300	
7			\$ 59,300	
8	Less: Dividends		(2,100)	
9	Total equity, April 30, 20X8		\$ 57,200	

A1				
	A	B	C	D
1	RedLotus Travel, Inc.			
2	Balance Sheet			
3	April 30, 20X8			
4	Assets		Liabilities	
5	Cash	\$ 33,300	Accounts payable	\$ 1,800
6	Accounts receivable	2,000	Shareholders' equity	
7	Supplies	3,700	Share capital	50,000
8	Land	20,000	Retained earnings	7,200
9			Total shareholders' equity	57,200
10	Total assets	\$ 59,000	Total liabilities and shareholders' equity	\$ 59,000

A1			
	A	B	C
1	RedLotus Travel, Inc.		
2	Statement of Cash Flows		
3	Month Ended April 30, 20X8		
4	Cash flows from operating activities:		
5	Net income		\$ 9,300
6	Adjustments to reconcile net income to net cash provided by operating activities		(5,900)
7	Net cash provided by operating activities		3,400
8	Cash flows from investing activities:		
9	Acquisition of land	\$ (40,000)	
10	Sale of land	22,000	
11	Net cash used for investing activities		(18,000)
12	Cash flows from financing activities:		
13	Issuance (sale) of shares	\$ 50,000	
14	Payment of dividends	(2,100)	
15	Net cash provided by financing activities		47,900
16	Net increase in cash		\$ 33,300
17	Cash balance, April 1, 20X8		0
18	Cash balance, April 30, 20X8		\$ 33,300

Requirement 2

- RedLotus, Inc., performed rather well in April. Net income was \$9,300—very good in relation to service revenue of \$10,000. The company was able to pay cash dividends of \$2,100.
- RedLotus, Inc., ended April with cash of \$33,300. Total assets of \$59,000 far exceed total liabilities of \$1,800. Shareholders' equity of \$57,200 provides a good cushion for borrowing. The business's financial position at April 30, 20X8, is strong.

REVIEW | Conceptual Framework and Financial Statements

Quick Check (Answers are given at the end of the chapter.)

- All of the following statements are true except one. Which statement is false?
 - The organization that formulates IFRS is the International Accounting Standards Board.
 - Users of financial information are limited to shareholders of the company.
 - Professional accountants are held to a high standard of ethical conduct.
 - Bookkeeping is only a part of accounting.
- Which of the following items are fundamental qualitative characteristics of financial information?
 - Going concern and accrual accounting
 - Relevance and faithful representation
 - Materiality and Cost-benefits
 - Assets and Liabilities
- The accounting equation can be expressed as:
 - Assets = Liabilities – Owners' Equity
 - Assets + Liabilities = Owners' Equity
 - Assets – Liabilities = Owners' Equity
 - Owners' Equity – Assets = Liabilities
- The nature of an asset is best described as:
 - an economic resource that's expected to benefit future operations
 - something with physical form that's valued at cost in the accounting records
 - something owned by a business that has a ready market value
 - an economic resource representing cash or the right to receive cash in the future
- Which financial statement covers a period of time?
 - Balance Sheet
 - Income Statement
 - Statement of cash flows
 - Both b and c
- How would net income be most likely to affect the accounting equation?
 - Increase assets and increase liabilities
 - Decrease assets and decrease liabilities
 - Increase liabilities and decrease shareholders' equity
 - Increase assets and increase shareholders' equity
- During the year, EcoWash has \$120,000 in revenues, \$50,000 in expenses, and \$4,000 in dividend payments. Shareholders' equity changed by:
 - +\$66,000
 - +\$70,000
 - \$66,000
 - +\$74,000
- EcoWash in question 7 had a:
 - net loss of \$50,000
 - net income of \$70,000
 - net income of \$66,000
 - net income of \$120,000
- Rochester Corporation holds cash of \$11,000 and owes \$27,000 in accounts payable. Rochester has accounts receivable of \$40,000, inventory of \$34,000, and land that cost \$55,000. How much are Rochester's total assets and liabilities?

<i>Total assets</i>	<i>Liabilities</i>
a. \$129,000	\$27,000
b. \$27,000	\$140,000
c. \$140,000	\$27,000
d. \$140,000	\$93,000

10. Which item(s) is (are) reported on the Balance Sheet?
- a. Inventory
 - b. Accounts payable
 - c. Retained earnings
 - d. All of the above
11. During the year, McKenna Company's shareholders' equity increased from \$38,000 to \$50,000. McKenna earned net income of \$18,000. How much in dividends did McKenna declare and paid during the year?
- a. \$0 (no dividends were paid)
 - b. \$6,000
 - c. \$12,000
 - d. \$7,000
12. Jarvis Company had total assets of \$340,000 and total shareholders' equity of \$130,000 at the beginning of the year. During the year assets increased by \$70,000 and liabilities increased by \$25,000. Shareholders' equity at the end of the year is:
- a. \$95,000
 - b. \$175,000
 - c. \$200,000
 - d. \$155,000
13. Which of the following is a true statement about International Financial Reporting Standards?
- a. They are newer than US financial reporting standards.
 - b. They require less judgement than other accounting standards.
 - c. They have been adopted (or allowed as an alternative) by many countries and territories around the world.
 - d. They are worse than local accounting standards as they do not understand local business conditions and practices.
14. Which of the following is the most accurate statement regarding ethics as applied to decision making in accounting?
- a. Ethics involves making difficult choices under pressure, and should be kept in mind in making every decision, including those involving accounting.
 - b. Ethics has no place in accounting, since accounting deals purely with numbers.
 - c. It is impossible to learn ethical decision making, since it is just something you decide to do or not to do.
 - d. Ethics is becoming less and less important as a field of study in business.

Accounting Vocabulary

accounting (p. 3) The information system that measures business activities, processes that information into reports and financial statements, and communicates the results to decision makers.

accounting equation (p. 12) The most basic relationship in accounting: $\text{Assets} = \text{Liabilities} + \text{Equity}$, or $\text{Assets} - \text{Liabilities} = \text{Equity}$. Also $\text{Revenue} - \text{Expenses} = \text{Profit (Loss)}$.

accrual basis (p. 11) Business transactions and other events are recognized when they occur and not when cash is received or paid.

asset (p. 11) A resource controlled by an entity as a result of past events and from which future economic benefits are expected to flow to the entity.

Balance Sheet (p. 12) List of an entity's assets, liabilities, and owners' equity at a specific date. Also called the Statement of Financial Position.

cash (p. 19) Money or any medium of exchange that a bank accepts at face value.

Conceptual Framework (p. 8) The basic objective, principles and assumptions guiding the presentation and preparation of general purpose financial statements.

corporation (p. 5) A business owned by shareholders. A corporation is a legal entity, an "artificial person" in the eye of the law.

current asset (p. 19) An asset that is expected to be converted to cash, sold, or consumed during the next 12 months.

current liability (p. 20) A debt due to be paid within one year.

dividends (p. 13) Distributions (usually in the form of cash) by a corporation to its shareholders.

double-entry system (p. 3) A system of recording business transactions where every financial transaction has equal amounts of debits and credits recorded in at least two accounts.

economic phenomena (p. 10) Information about the reporting entity's economic resources, claims against the reporting entity, and the effects of transactions and other events and conditions that change those resources and claims.

equity (p. 11) The residual interest in the assets of an entity after deducting all its liabilities. Also called owners' or shareholders' equity or net assets.

ethics (p. 25) Standards of right and wrong that transcend economic and legal boundaries. Ethical standards deal with the way we treat others and restrain our own actions because of the desires, expectations, or rights of others, or with our obligations to them.

expenses (p. 12) Decrease in equity that results from operations; the cost of doing business; opposite of revenues.

financial accounting (p. 4) The branch of accounting that provides information to people outside the firm.

financial statements (p. 2) Business documents that report financial information about a business entity to decision makers.

financing activities (p. 21) Activities that obtain from investors and creditors the cash needed to launch and sustain the business; a section of the statement of cash flows.

gains (p. 12) Usually separated from revenues. Part of income and result in an increase in equity.

general purpose financial statements (p. 8) The common set of financial statements prepared for all users of financial statements.

Generally Accepted Accounting Principles (GAAP) (p. 6) Accounting guidelines, usually in reference to U.S. standards as formulated by the Financial Accounting Standards Board. By 2014, U.S. GAAP is expected to converge with IFRS.

going concern (p. 11) An assumption that an entity will remain in operation for the foreseeable future.

gross profit (p. 16) Revenue from a particular activity minus the direct costs associated with earning that revenue.

income (p. 11) Increases in equity from revenue and gains.

Income Statement (p. 12) A financial statement listing an entity's revenues, expenses, and net income or net loss for a specific period. Part of the Statement of Comprehensive Income.

International Accounting Standards Board (IASB) (p. 6) A board formed to replace the International Accounting Standards Committee (IASC).

International Financial Reporting Standards (IFRS) (p. 6) Accounting guidelines, formulated by the International Accounting Standards Board (IASB).

inventory (p. 22) The merchandise that a company holds for sale to customers.

investing activities (p. 21) Activities that increase or decrease the long-term assets available to the business; a section of the statement of cash flows.

liability (p. 11) A present obligation of an entity arising from past events, the settlement of which is expected to result in

an outflow from the entity of resources embodying economic benefits.

losses (p. 12) Usually separated from expenses; result in a reduction in equity.

management accounting (p. 4) The branch of accounting that generates information for the internal decision makers of a business, such as top executives.

materiality (p. 10) The importance or significance of information that may change the user's final assessment of a situation.

net income (p. 12) Excess of total revenues over total expenses. Also called net earnings or net profit.

net loss (p. 13) Excess of total expenses over total revenues.

net profit (p. 13) Another name for net income.

operating activities (p. 21) Activities that create revenue or expense in the entity's major line of business; a section of the statement of cash flows.

paid-in capital (p. 20) The amount of shareholders' equity that shareholders have contributed to the corporation.

partnership (p. 5) An association of two or more persons who co-own a business for profit.

property, plant and equipment or PPE (p. 19) Long-lived assets, such as land, buildings, and equipment, used in the operation of the business. Also called fixed assets.

proprietorship (p. 5) A business with a single owner.

qualitative characteristics (p. 9) The attributes that are most likely to make the information provided in financial statements useful to users.

reporting entity (p. 4) An organization or a section of an organization that, for accounting purposes, stands apart from other organizations and individuals as a separate economic unit.

retained earnings (p. 11) The amount of shareholders' equity that the corporation has earned through profitable operation that has been retained in the business (not distributed back to shareholders).

revenue (p. 12) Increase in retained earnings from delivering goods or services to customers or clients.

share capital (p. 11) Proof of ownership in a company. Amount invested by owners into the business through share ownership.

shareholder (p. 5) A person who owns shares in a corporation.

Statement of Cash Flows (p. 21) Reports cash receipts and cash payments classified according to the entity's major activities: operating, investing, and financing.

Statement of Changes in Equity (p. 17) Provides a reconciliation of the movement of equity items during a financial period. Affected share issuance, share cancellation, net income (or net loss), and dividends paid.

Statement of Comprehensive Income (p. 15) Net profit (loss) for the period plus other comprehensive income.

Statement of Financial Position (p. 18) Another name for the Balance Sheet.

ASSESS YOUR PROGRESS

Short Exercises

S1-1. (Learning Objective 1: Organizing a business) Keyboard Warrior needs funds, and Mary Barry, the president, has asked you to consider investing in the business. Answer the following questions about the different ways that Barry might organize the business. Explain each answer.

L0 1

- What forms of organization will enable the owners of Keyboard Warrior to limit their risk of loss to the amounts they have invested in the business?
- What form of business organization will give Mary Barry the most freedom to manage the business as she wishes?
- What form of organization will give creditors the maximum protection in the event that Keyboard Warrior fails and cannot pay its debts?

S1-2. (Learning Objective 1, 2: Defining key accounting terms) Accounting definitions are precise, and you must understand the vocabulary to be able to properly use accounting. Sharpen your understanding of key terms by answering the following questions:

L0 1 2

- How do the assets and owners' equity of Volkswagen Corporation differ from each other? Which one (assets or owners' equity) must be at least as large as the other? Which one can be smaller than the other?
- How are Volkswagen's liabilities and owners' equity similar or different?

S1-3. (Learning Objective 1, 2: Classifying assets, liabilities, and owners' equity) Consider Carrefour, a large retailer. Classify the following items as Asset (A), Liability (L), or Shareholders' Equity (S) for Carrefour:

L0 1 2

- | | |
|-------------------------------|---------------------------|
| a. ____ Accounts receivable | g. ____ Accounts payable |
| b. ____ Long-term debt | h. ____ Share capital |
| c. ____ Merchandise inventory | i. ____ Supplies |
| d. ____ Notes payable | j. ____ Retained earnings |
| e. ____ Expenses payable | k. ____ Land |
| f. ____ Equipment | l. ____ Prepaid expenses |

S1-4. (Learning Objective 2: Using accounting vocabulary)

L0 2

- Identify the two accounting elements you would find on an Income Statement.
- What do we call the bottom line of the Income Statement?

S1-5. (Learning Objective 2: Applying accounting assumptions) Daniel Newman is the chair of the board of Quality Food Brands, Inc. Suppose Mr. Newman has just founded Quality Food Brands, and assume that he treats his home and other personal assets as part of Quality Food Brands. Answer these questions about the evaluation of Quality Food Brands, Inc.

L0 2

- Which accounting principle governs this situation?
- How can the proper application of this accounting concept give Newman and others a realistic view of Quality Food Brands, Inc.? Explain in detail.

S1-6. (Learning Objective 2: Understanding the Conceptual Framework) Identify the accounting assumption, principle, or qualitative characteristic that best applies to each of the following situations:

L0 2

- At the height of the financial crisis, there were speculations that Lehman Brothers would not be able to meet its obligations before it eventually filed for bankruptcy on September 15, 2008.
- ComfortDelgro, a transportation company, has been using an eight-year lifespan on the roadworthiness of its fleet of buses. Better maintenance and servicing have allowed the company to use its buses for a period of 12 years.
- F&N is the parent company of Asia Pacific Breweries and Boncafé Beverages, and wishes to evaluate which subsidiary has performed better.
- You are about to report your net income for the year. It looks like a record-breaking year, and sales are expected to top the \$10 million mark for the first time. However, you are uncertain if you have actually delivered the goods ordered by one customer on December 30, 20X6, totaling \$500,000.

L0 2

S1-7. (Learning Objective 2: Using the accounting equation) Identify the missing amount for each situation:

	Total Assets	=	Total Liabilities	+	Shareholders' Equity
a.	\$?		\$50,200		\$160,800
b.	270,000		50,290		?
c.	172,800		?		76,800

L0 2

S1-8. (Learning Objective 2: Using the accounting equation)

1. Use the accounting equation to show how to determine the amount of a company's owners' equity. How would your answer change if you were analyzing your own household or a single Burger King outlet?
2. If you know the assets and the owners' equity of a business, how can you measure its liabilities? Give the equation.

L0 3

S1-9. (Learning Objective 3: Preparing an Income Statement) Barbed Wires began 20X6 with total assets of \$160 million and ended 20X6 with assets of \$190 million. During 20X6 Barbed Wires earned revenues of \$131 million and had expenses of \$54 million. Barbed Wires paid dividends of \$13 million in 20X6. Prepare the company's Income Statement for the year ended December 31, 20X6, complete with an appropriate heading.

L0 3

S1-10. (Learning Objective 3: Preparing a statement of changes in equity) Roam Corp. began 20X6 with retained earnings of \$300 million and share capital of \$125 million. Revenues during the year were \$510 million and expenses totaled \$325 million. Roam declared and paid dividends of \$15 million. What was the company's ending balance of retained earnings? To answer this question, prepare Roam's statement of changes in equity for the year ended December 31, 20X6, complete with its proper heading.

L0 3

S1-11. (Learning Objective 3: Preparing a Balance Sheet) At December 31, 20X6, Grande Products has cash of \$15,000, receivables of \$22,000, and inventory of \$20,000. The company's equipment totals \$49,000. Grande owes accounts payable of \$21,000, and long-term notes payable of \$50,000. Share capital amounts to \$35,000.

Prepare Grande's Balance Sheet at December 31, 20X6, complete with its proper heading. Use the accounting equation to compute retained earnings.

L0 3

S1-12. (Learning Objective 3: Preparing a statement of cash flows) Lanos Medical, Inc., ended 20X5 with cash of \$30,000. During 20X6, Lanos earned net income of \$72,100 and had adjustments to reconcile net income to net cash provided by operations totaling \$22,000 (this is a negative amount).

Lanos paid \$45,000 to purchase equipment during 20X6. During 20X6, the company paid dividends of \$10,700.

Prepare Lanos' statement of cash flows for the year ended December 31, 20X6, complete with its proper heading.

L0 3 4

S1-13. (Learning Objectives 3, 4: Using accounting vocabulary; identifying items with the appropriate financial statement) Suppose you are analyzing the financial statements of Murphy Radiology, Inc. Identify each item with its appropriate financial statement, using the following abbreviations: Income Statement (IS), Statement of Changes in Equity (SCE), Balance Sheet (BS), and Statement of cash flows (SCF). Three items appear on two financial statements, and one item shows up on three statements.

- | | |
|--|---|
| a. ____ Cash | h. ____ Dividends |
| b. ____ Net cash used for financing activities | i. ____ Salary expense |
| c. ____ Accounts payable | j. ____ Inventory |
| d. ____ Share capital | k. ____ Sales revenue |
| e. ____ Interest revenue | l. ____ Retained earnings |
| f. ____ Long-term debt | m. ____ Net cash provided by operating activities |
| g. ____ Increase or decrease in cash | n. ____ Net income |

S1-14. (Learning Objectives 2, 4: Applying accounting concepts, assumptions, and principles to explain business activity) Apply your understanding of the relationships among the financial statements to answer these questions.

L0 2 4

- How can a business earn large profits but have a small balance of retained earnings?
- Give two reasons why a business can have a steady stream of net income over a six-year period and still experience a cash shortage.
- If you could pick a single source of cash for your business, what would it be? Why?
- How can a business lose money several years in a row and still have plenty of cash?

S1-15. (Learning Objective 5: Making ethical judgments) Good business and accounting practices require the exercise of good judgment. How should ethics be incorporated into making accounting judgments? Why is ethics important?

L0 5

Exercises MyLab Accounting

Select A and B exercises can be found within MyLab Accounting, an online homework and practice environment. Your instructor may ask you to complete select exercises using MyLab Accounting.

Group A

E1-16A. (Learning Objectives 2, 3: Using the accounting equation; evaluating business operations) Compute the missing amount in the accounting equation for each company (amounts in thousands):

L0 2 3

	Assets	Liabilities	Owners' Equity
Alpha	\$?	\$12	\$20
Bravo	21	?	5
Charlie	44	21	?

Which company appears to have the strongest financial position? Explain your reasoning.

E1-17A. (Learning Objectives 2, 3: Using the accounting equation; evaluating business operations) Double Doughnuts has current assets of \$250 million; property, plant and equipment of \$440 million; and other assets totaling \$100 million. Current liabilities are \$120 million and long-term liabilities total \$300 million.

L0 2 3

Requirements

- Use the data to write Double Doughnuts' accounting equation.
- How much in resources does Double Doughnuts' have to work with?
- How much does Double Doughnuts' owe creditors?
- How much of the company's assets do the Double Doughnuts' shareholders actually own?

E1-18A. (Learning Objectives 2, 3: Using the accounting equation; evaluating business operations) Spicer, Inc.'s comparative Balance Sheet at January 31, 20X7 and 20X6, reports (in millions):

L0 2 3

	20X7	20X6
Total assets	\$37	\$30
Total liabilities	8	6

Requirements

Three independent scenarios about Spicer's issuance of shares and payment of dividends during the year ended January 31, 20X7, are provided below. For each scenario, use the

accounting equation and the statement of changes in equity to compute the amount of Spicer's net income or net loss during the year ended January 31, 20X7.

1. Spicer issued \$8 million of shares and paid no dividends.
2. Spicer issued no shares but paid dividends of \$8 million.
3. Spicer issued \$2 million of shares and paid dividends of \$6 million.

L0 3

E1-19A. (Learning Objective 3: Using the accounting equation) Answer these questions about the following companies:

1. Delta Cruises began the year with total liabilities of \$60,000 and total shareholders' equity of \$90,000. During the year, total assets increased by 20%. How much are total assets at the end of the year?
2. Carnival Airlines Ltd. began the year with total assets of \$120,000 and total liabilities of \$15,000. Net income for the year was \$20,000, and dividends were \$4,000. How much is shareholders' equity at the end of the year?

L0 3 4

E1-20A. (Learning Objectives 3, 4: Evaluating business operations; making business decisions) Assume LINE is expanding into Ireland. The company must decide where to locate and how to finance the expansion. Identify the financial statement where these decision makers can find the following information about LINE. In some cases, more than one statement will report the needed data.

- | | |
|---|--|
| a. Cash spent to acquire the building | g. Share capital |
| b. Selling, general, and administrative expenses | h. Income tax payable |
| c. Adjustments to reconcile net income to net cash provided by operations | i. Dividends |
| d. Ending cash balance | j. Income tax expense |
| e. Current liabilities | k. Ending balance of retained earnings |
| f. Net income | l. Total assets |
| | m. Long-term debt |
| | n. Revenue |

L0 3 4

■ **spreadsheet**

E1-21A. (Learning Objectives 3, 4: Using the accounting equation; preparing a Balance Sheet) Amounts of the assets and liabilities of Angelababy Company, as of January 31, 20X6, are given as follows. The revenue and expense figures for the year ended on that date (amounts in millions) are also included:

Total revenue	\$38.8	Investments	\$15.0
Receivables.....	0.8	Property and equipment, net	16.6
Current liabilities	2.0	Other expenses.....	6.7
Share capital.....	14.3	Retained earnings, beginning.....	8.2
Interest expense.....	0.7	Retained earnings, ending	?
Salary and other employee expenses.....	17.5	Cash.....	2.5
Long-term liabilities	3.0	Other assets.....	5.0

Requirement

1. Prepare the Balance Sheet of Angelababy Company at January 31, 20X6. Use the accounting equation to compute ending retained earnings.

L0 3 4

E1-22A. (Learning Objective 3, 4: Preparing an Income Statement and a Statement of Changes in Equity) This exercise should be used with Exercise 1-21A. Refer to the data of Angelababy Company in Exercise 1-21A.

Requirements

1. Prepare the Income Statement of Angelababy Company, for the year ended January 31, 20X6.
2. What amount of dividends did Angelababy declare during the year ended January 31, 20X6? Hint: Prepare a statement of changes in equity.

E1-23A. (Learning Objective 3, 4: Preparing a statement of cash flows) Gravity began 20X6 with \$88,000 in cash. During 20X6, Gravity earned net income of \$420,000, and adjustments to reconcile net income to net cash provided by operations totaled \$60,000, a positive amount. Investing activities used cash of \$400,000, and financing activities provided cash of \$68,000. Gravity ended 20X6 with total assets of \$260,000 and total liabilities of \$115,000.

LO 3 4

Requirement

1. Prepare Gravity's statement of cash flows for the year ended December 31, 20X6. Identify the data items given that do not appear on the statement of cash flows. Also identify the financial statement that reports the unused items.

E1-24A. (Learning Objective 3, 4: Preparing an Income Statement and a statement of changes in equity) Assume Fast Copy Center ended the month of July 20X6 with this data:

LO 3 4

Payments of cash:			
Acquisition of equipment	\$480,000	Cash balance, June 30, 20X6	\$ 0
Dividends	4,200	Cash balance, July 31, 20X6	10,000
Retained earnings		Cash receipts:	
June 30, 20X6	0	Issuance of shares	
Retained earnings		to owners	69,500
July 31, 20X6	?	Rent expense	2,300
Utilities expense	12,000	Share capital	69,500
Adjustments to reconcile		Equipment	41,000
net income to net cash		Office supplies	13,700
provided by operations	2,300	Accounts payable	16,000
Salary expense	168,000	Service revenue	604,500

Requirement

1. Prepare the Income Statement and the Statement of Changes in Equity of Fast Copy Center, for the month ended July 31, 20X6.

E1-25A. (Learning Objective 3, 4: Preparing a Balance Sheet) Refer to the data in Exercise 1-24A.

LO 3 4

Requirement

1. Prepare the Balance Sheet of Fast Copy Center, Inc., for July 31, 20X6.

E1-26A. (Learning Objective 3, 4: Preparing a Statement of Cash Flows) Refer to the data in Exercises 1-24A and 1-25A.

LO 3 4

Requirement

1. Prepare the statement of cash flows of Fast Copy Center, for the month ended July 31, 20X6. Also explain the relationship among Income Statement, statement of changes in equity, Balance Sheet, and statement of cash flows.

E1-27A. (Learning Objectives 3, 4: Evaluating a business; advising a business) This exercise should be used in conjunction with Exercises 1-24A through 1-26A.

LO 3 4

The owner of Fast Copy Center seeks your advice as to whether he should cease operations or continue the business. Complete the report giving him your opinion of net income, dividends, financial position, and cash flows during his first month of operations. Cite specifics from the financial statements to support your opinion. Conclude your memo with advice on whether to stay in business or cease operations.

■ **writing assignment**

Group B

E1-28B. (Learning Objectives 2, 3: Using the accounting equation; evaluating business operations) Compute the missing amount in the accounting equation for each company (amounts in thousands):

LO 2 3

	Assets	Liabilities	Owners' Equity
Delta video rentals	\$?	\$ 9	\$19
Echo entertainment	35	?	5
Portal gifts and cards	33	16	?

Which company appears to have the strongest financial position? Explain your reasoning.

L0 2 3

E1-29B. (*Learning Objectives 2, 3: Using the accounting equation; evaluating business operations*) Tripple Doughnuts has current assets of €250 million; property, plant and equipment of €420 million; and other assets totaling €100 million. Current liabilities are €100 million and long-term liabilities total €320 million.

Requirements

1. Use this data to write Tripple's accounting equation.
2. How much in resources does Tripple have to work with?
3. How much does Tripple owe creditors?
4. How much of the company's assets do the Tripple shareholders actually own?

L0 2 3

E1-30B. (*Learning Objectives 2, 3: Using the accounting equation; evaluating business operations*) Sprinkler, Inc.'s comparative Balance Sheet at January 31, 20X7 and 20X6, reports (in millions):

	20X7	20X6
Total assets	€39	€20
Total liabilities	12	3

Requirements

Three independent scenarios about Sprinkler's issuance of shares and payment of dividends during the year ended January 31, 20X7, follow. For each situation, use the accounting equation and the statement of changes in equity to compute the amount of Sprinkler's net income or net loss during the year ended January 31, 20X7.

1. Sprinkler issued €10 million of shares and paid no dividends.
2. Sprinkler issued no shares but paid dividends of €10 million.
3. Sprinkler issued €6 million of shares and paid dividends of €2 million.

L0 3

E1-31B. (*Learning Objective 3: Applying the accounting equation*) Answer these questions about two companies.

1. Emerald Cruises began the year with total liabilities of €80,000 and total shareholders' equity of €45,000. During the year, total assets increased by 25%. How much are total assets at the end of the year?
2. Starjet Airlines Ltd. began the year with total assets of €75,000 and total liabilities of €50,000. Net income for the year was €24,000, and dividends were €6,000. How much is shareholders' equity at the end of the year?

L0 3 4

E1-32B. (*Learning Objectives 3, 4: Evaluating business operations; making business decisions*)

Assume Lesley, Inc., is expanding into Sweden. The company must decide where to locate and how to finance the expansion. Identify the financial statement where these decision makers can find the following information about Lesley, Inc. In some cases, more than one statement will report the needed data.

- | | |
|--|---|
| a. Dividends | e. Cash spent to acquire the building |
| b. Total assets | f. Adjustments to reconcile net income to net cash provided by operations |
| c. Long-term debt | g. Share capital |
| d. Selling, general, and administrative expenses | h. Net income |

- i. Current liabilities
- j. Share capital
- k. Income tax payable
- l. Ending balance of retained earnings
- m. Revenue
- n. Ending cash balance

E1-33B. (*Learning Objectives 3, 4: Using the accounting equation; preparing a Balance Sheet*) Amounts of the assets and liabilities of Bobbyboy Company, as of May 31, 20X6, are given as follows. Also included are revenue and expense figures for the year ended on that date (amounts in millions):

L0 3 4

Total revenue	€34.0	Investments	€16.1
Receivables.....	0.2	Property and equipment, net	18.0
Current liabilities	6.0	Other expenses.....	6.8
Share capital.....	15.9	Retained earnings, beginning.....	9.3
Interest expense.....	0.2	Retained earnings, ending	?
Salary and other employee expenses.....	15.5	Cash.....	2.5
Long-term liabilities	2.3	Other assets.....	5.0

Requirement

1. Prepare the Balance Sheet of Bobbyboy Company at May 31, 20X6. Use the accounting equation to compute ending retained earnings.

E1-34B. (*Learning Objective 3, 4: Preparing an Income Statement and a Statement of Changes in Equity*) This exercise should be used with Exercise 1-33B.

L0 3 4

Requirements

1. Prepare the Income Statement of Bobbyboy Company, for the year ended May 31, 20X6.
2. What amount of dividends did Bobbyboy declare during the year ended May 31, 20X6?
Hint: Prepare a statement of changes in equity.

E1-35B. (*Learning Objective 3, 4: Preparing a Statement of Cash Flows*) Lucky began 20X6 with €80,000 in cash. During 20X6, Lucky earned net income of €442,000, and adjustments to reconcile net income to net cash provided by operations totaled €58,000, a positive amount. Investing activities used cash of €390,000, and financing activities provided cash of €72,000. Lucky ended 20X6 with total assets of €380,000 and total liabilities of €150,000.

L0 3 4

Requirement

1. Prepare Lucky's Statement of Cash Flows for the year ended December 31, 20X6. Identify the data items given that do not appear on the Statement of Cash Flows. Also identify the financial statement that reports each unused item.

E1-36B. (*Learning Objective 4: Preparing an Income Statement and a Statement of Changes in Equity*) Assume Express Copy Center ended the month of July 20X7 with this data:

L0 4

Payments of cash:		Cash balance, June 30, 20X7	€ 0
Acquisition of equipment	€411,000	Cash balance, July 31, 20X7	9,500
Dividends	3,100	Cash receipts:	
Retained earnings		Issuance of shares	
June 30, 20X7.....	0	to owners	54,000
Retained earnings		Rent expense	5,750
July 31, 20X7.....	?	Share capital.....	54,000
Utilities expense	11,000	Equipment.....	411,000
Adjustments to reconcile		Office supplies	14,200
net income to net cash		Accounts payable	17,000
provided by operations.....	2,800	Service revenue.....	544,450
Salary expense.....	161,800		

Requirement

1. Prepare the Income Statement and the Statement of Changes in Equity of Express Copy Center, for the month ended July 31, 20X7.

L0 3 4**E1-37B.** (*Learning Objective 3, 4: Preparing a Balance Sheet*) Refer to the data in Exercise 1-36B.**Requirement**

1. Prepare the Balance Sheet of Express Copy Center, at July 31, 20X7.

L0 3 4**E1-38B.** (*Learning Objective 3, 4: Preparing a Statement of Cash Flows*) Refer to the data in Exercises 1-36B and 1-37B.**Requirement**

1. Prepare the Statement of Cash Flows of Express Copy Center, for the month ended July 31, 20X7. Also explain the relationship among Income Statement, Statement of Changes in Equity, Balance Sheet, and Statement of Cash Flows.

L0 3 4**E1-39B.** (*Learning Objectives 3, 4: Evaluating a business; advising a business*) This exercise should be used in conjunction with Exercises 1-36B through 1-38B.**■ writing assignment**

The owner of Express Copy Center now seeks your advice as to whether he should cease operations or continue the business. Complete the report giving him your opinion of net income, dividends, financial position, and cash flows during his first month of operations. Cite specifics from the financial statements to support your opinion. Conclude your memo with advice on whether to stay in business or cease operations.

Quiz

Test your understanding of the financial statements by answering the following questions. Select the best choice from among the possible answers given.

Q1-40. The *primary* objective of financial reporting is to provide information

- a. to the federal government.
- b. useful for making investment and credit decisions.
- c. about the profitability of the enterprise.
- d. on the cash flows of the company.

Q1-41. Which type of business organization provides the least amount of protection for bankers and other creditors of the company?

- a. Corporation
- b. Partnership
- c. Proprietorship
- d. Both a and b

Q1-42. Assets are usually reported at their

- a. appraised value.
- b. historical cost.
- c. current market value.
- d. assumed value.

Q1-43. During March, assets increased by \$18,000 and liabilities increased by \$5,000. Shareholders' equity must have

- a. increased by \$23,000.
- b. decreased by \$23,000.
- c. increased by \$13,000.
- d. decreased by \$13,000.

Q1-44. The amount a company expects to collect from customers appears on the

- a. statement of cash flows.
- b. Income Statement in the expenses section.
- c. Balance Sheet in the shareholders' equity section.
- d. Balance Sheet in the current assets section.

Q1-45. All of the following are current assets except

- a. cash.
- b. accounts receivable.
- c. inventory.
- d. sales revenue.

- Q1-46.** Revenue is
- an increase in paid-in capital resulting from the owners investing in the business.
 - a decrease in liabilities resulting from paying off loans.
 - an increase in retained earnings resulting from selling products or performing services.
 - all of the above.
- Q1-47.** The financial statement that reports revenues and expenses is called the
- Balance Sheet.
 - statement of cash flows.
 - Income Statement.
 - statement of changes in equity.
- Q1-48.** Another name for the Balance Sheet is the
- statement of earnings.
 - statement of financial position.
 - statement of operations.
 - statement of profit and loss.
- Q1-49.** Rainbow Corporation began the year with cash of \$32,000 and other assets that totalled \$22,000. During the year Rainbow earned sales revenue of \$133,000 and had the following expenses: salaries: \$56,000; rent: \$10,000; and utilities: \$5,000. At year-end Rainbow's cash balance was down to \$20,000. How much net income (or net loss) did Rainbow experience for the year?
- (\$62,000)
 - \$12,000
 - \$20,000
 - \$43,200
- Q1-50.** Advanced Instruments had retained earnings of \$150,000 at December 31, 20X5. Net income for 20X6 totalled \$120,000, and dividends for 20X6 were \$20,000. How much retained earnings should Advanced Instruments report at December 31, 20X6?
- \$150,000
 - \$250,000
 - \$130,000
 - \$290,000
- Q1-51.** Which of the following is not an enhancing qualitative characteristic?
- Materiality
 - Understandability
 - Verifiability
 - Comparability
- Q1-52.** Cash paid to purchase a building appears on the statement of cash flows among the
- financing activities.
 - investing activities.
 - shareholders' equity.
 - operating activities.
- Q1-53.** The shareholders' equity of Diakovsky Company at the beginning and end of 20X6 totalled \$16,000 and \$21,000, respectively. Assets at the beginning of 20X6 were \$25,000. If Diakovsky Company's liabilities increased by \$8,000 in 20X6, how much were total assets at the end of 20X6? Use the accounting equation.
- \$41,000
 - \$46,000
 - \$35,000
 - \$38,000
- Q1-54.** Ribbon Company had the following on the dates indicated:

	Dec. 31, 20X6	Dec. 31, 20X5
Total assets	\$750,000	\$520,000
Total liabilities	280,000	180,000

Ribbon had no share issuance in 20X6, and thus the change in shareholders' equity for 20X6 was due to net income and dividends. If dividends were \$50,000, how much was Ribbon's net income for 20X6? Use the accounting equation and the statement of changes in equity.

- \$290,000
- \$180,000
- \$180,000
- \$260,000

Problems MyLab Accounting

Select A and B problems can be found within MyLab Accounting, an online homework and practice environment. Your instructor may ask you to complete these problems using MyLab Accounting.

Group A

L0 1 2 4

P1-55A. (*Learning Objectives 1, 2, 4: Applying accounting vocabulary, concepts, and principles; evaluating business operations*) Assume that Division A of Smith Corporation experienced the following transactions during the year ended December 31, 20X7:

- Suppose Division A supplied copy products to a customer at a discounted price of \$250,000. Under normal conditions they would have provided these services for \$305,000.
- The customer paid \$102,000 in December 20X7, and the balance was paid in full in January 20X8.
- During the period, Division A also sold some products to Division B amounting to \$55,000 at a cost of \$32,000.
- Division A discovered that the remaining useful life of its equipment is three years instead of two years. This resulted in a lower depreciation expense of \$3,000 for the year (instead of \$5,000).
- All other expenses totaled \$245,000 for the year, but only \$217,000 was paid to employees and suppliers.

Requirements

- Prepare the Division A's Income Statement for the year ended December 31, 20X7.
- For items **a** through **e**, identify the accounting concept, assumption, or principle that provides guidance in accounting for the item. State how you have applied the concept or principle in preparing the Income Statement.

L0 3 4

P1-56A. (*Learning Objectives 3, 4: Using the accounting equation; evaluating business operations*) Compute the missing amount (?) for each company, amounts in millions.

	Gilbert Corp.	Mandy Co.	Gurbir Inc.
Beginning			
Assets	\$ 80	\$ 40	\$?
Liabilities	43	25	1
Share capital.....	9	3	2
Retained earnings.....	?	12	5
Ending			
Assets	\$?	\$ 42	\$ 8
Liabilities	48	24	?
Share capital.....	3	?	1
Retained earnings.....	33	?	?
Income Statement			
Revenues	\$ 218	\$?	\$ 12
Expenses	210	152	?
Net income.....	?	?	?
Retained Earnings			
Beginning retained earnings	\$ 28	\$ 12	\$ 5
+ Net income.....	?	9	4
– Dividends	(3)	(5)	(2)
= Ending retained earnings....	<u>\$ 33</u>	<u>\$ 22</u>	<u>\$ 7</u>

At the end of the year, which company has the:

- Highest net income?
- Highest percentage of net income to revenues?

P1-57A. (*Learning Objectives 3, 4: Using the accounting equation; preparing a Balance Sheet; making decisions*) The manager of Headlines, Inc., prepared the company's Balance Sheet while the accountant was ill. The Balance Sheet contains numerous errors. In particular, the manager knew that the Balance Sheet should balance, so he plugged in the shareholders' equity amount needed to achieve this balance. The shareholders' equity amount is *not* correct. All other amounts are accurate.

L0 3 4

A1				
	A	B	C	D
	Headlines, Inc. Balance Sheet	For the Month Ended June 30, 20X6		
1				
2	Assets		Liabilities	
3	Cash	\$ 7,000	Notes receivable	\$ 1,500
4	Equipment	40,000	Interest expense	1,500
5	Accounts payable	7,500	Office supplies	1,200
6	Utilities expense	1,300	Accounts receivable	2,750
7	Advertising expense	650	Notes payable	55,000
8	Land	78,000	Total	75,450
9	Salary expense	3,000	Shareholders' Equity	
10			Shareholders' equity	62,000
11	Total assets	\$ 137,450	Total liabilities	\$ 137,450
12				

Requirements

1. Prepare the correct Balance Sheet and date it properly. Compute total assets, total liabilities, and shareholders' equity.
2. Is Headlines actually in a better (or worse) financial position than the erroneous Balance Sheet reports? Give reasons for your answer.
3. Identify the accounts listed on the incorrect Balance Sheet that should not be reported on the Balance Sheet. State why you excluded them from the correct Balance Sheet you prepared for Requirement 1. On which financial statement should these accounts appear?

P1-58A. (*Learning Objectives 2, 4: Preparing a Balance Sheet; applying the entity assumption; making business decisions*) Sandy Healey is a realtor. She organized the business as a corporation on April 16, 20X7. The business received \$85,000 cash from Healey and issued shares to Healey. Consider the following facts as of April 30, 20X7.

L0 2 4

- a. Healey has \$15,000 in her personal bank account and \$70,000 in the business bank account.
- b. Healey owes \$2,000 on a personal charge account with a department store.
- c. Healey acquired business furniture for \$38,000 on April 25. Of this amount, the business owes \$32,000 on accounts payable at April 30.
- d. Office supplies on hand at the real estate office total \$13,000.
- e. Healey's business owes \$36,000 on a note payable for some land acquired for a total price of \$112,000.
- f. Healey's business spent \$22,000 for a Realty Universe franchise, which entitles her to represent herself as an agent. Realty Universe is a national affiliation of independent real estate agents. This franchise is a business asset.
- g. Healey owes \$142,000 in mortgage on her personal residence, which she acquired in 20X1 for a total price of \$360,000.

Requirements

1. Prepare the Balance Sheet of the real estate business of Sandy Healey Realtor, Inc., at April 30, 20X7.
2. Does it appear that the realty business can pay its debts? How can you tell?
3. Identify the personal items given in the facts that should not be reported on the Balance Sheet of the business.

L0 3 4

■ spreadsheet

P1-59A. (*Learning Objectives 3, 4: Preparing an Income Statement, a Statement of Changes in Equity and a Balance Sheet; using accounting information to make decisions*) The assets and liabilities of California Rollers, as of December 31, 20X6, and revenues and expenses for the year ended on that date follow.

Land.....	\$ 8,000	Equipment.....	\$ 31,700
Note payable.....	27,500	Interest expense.....	4,000
Property tax expense.....	1,600	Interest payable.....	1,800
Rent expense.....	13,000	Accounts payable.....	10,000
Accounts receivable.....	22,000	Salary expense.....	33,200
Service revenue.....	144,000	Building.....	125,400
Supplies.....	2,300	Cash.....	14,000
Utilities expense.....	3,700	Share capital.....	1,200

Beginning retained earnings was \$116,000, and dividends totaled \$41,600 for the year.

Requirements

1. Prepare the Income Statement of California Rollers for the year ended December 31, 20X6.
2. Prepare the company's statement of changes in equity for the year.
3. Prepare the company's Balance Sheet at December 31, 20X6.
4. Analyze California Rollers by answering these questions:
 - a. Was California Rollers profitable during 20X6? By how much?
 - b. Did retained earnings increase or decrease? By how much?
 - c. Which is greater, total liabilities or total equity? Who owns more of California Rollers' assets, creditors of the company or the company's shareholders?

L0 4

P1-60A. (*Learning Objective 4: Preparing a Statement of Cash Flows*) The following data is derived from the financial statements of the Water Fountain Company for the year ended May 31, 20X7 (in thousands):

Purchases of property, plant and equipment	\$ 3,500	Other investing cash payments.....	\$ 320
Net income.....	3,000	Accounts receivable.....	750
Adjustments to reconcile net income to net cash provided by operating activities	2,250	Payment of dividends	300
Revenues.....	58,700	Share capital.....	5,000
Cash, beginning of year.....	300	Issuance of shares.....	200
end of year	1,680	Sales of property, plant and equipment	50
Cost of goods sold.....	40,800	Retained earnings.....	13,100

Requirements

1. Prepare a Statement of Cash Flows for the year ended May 31, 20X7. Not all items given appear on the Statement of Cash Flows.
2. What activities provided the largest source amount of cash? Is this a sign of financial strength or weakness?

P1-61A. (*Learning Objective 4: Analyzing a company's financial statements*) Summarized versions of Carlos Corporation's financial statements are given for two recent years.

L0 4

A1			
	A	B	C
1			
2		20X6	20X5
3	Income Statement	(In thousands)	
4	Revenues	\$ k	\$ 16,020
5	Cost of goods sold	11,000	a
6	Other expenses	1,250	1,200
7	Income before income taxes	1,600	1,920
8	Income taxes (35% tax rate)	l	672
9	Net income	\$ m	\$ b
10	Statement of Changes in Equity		
11	Beginning balance	\$ n	\$ 2,826
12	Shares bought back	(30)	0
13	Net income	o	c
14	Dividends	(96)	(200)
15	Ending balance	\$ p	\$ d
16	Balance Sheet		
17	Assets		
18	Cash	\$ q	\$ e
19	Property, plant and equipment	1,680	1,725
20	Other assets	r	10,184
21	Total assets	\$ s	\$ 13,069
22	Liabilities		
23	Current liabilities	\$ t	\$ 5,725
24	Notes payable and long-term debt	4,250	3,400
25	Other liabilities	60	70
26	Total liabilities	\$ 9,600	\$ f
27	Shareholders' equity:		
28	Share capital	\$ 400	\$ 410
29	Retained earnings	u	g
30	Total shareholders' equity	v	3,874
31	Total liabilities and shareholders' equity	\$ w	\$ h
32	Cash Flow Statement		
33	Net cash provided by operating activities	\$ x	\$ 850
34	Net cash used in investing activities	(220)	(320)
35	Net cash used in financing activities	(575)	(570)
36	Increase (decrease) in cash	(80)	i
37	Cash at beginning of year	y	1,200
38	Cash at end of year	\$ z	\$ j
39			

Requirement

- Determine the missing amounts as denoted by the letters.

Group B

P1-62B. (*Learning Objectives 1, 2, 4: Applying accounting vocabulary, concepts, and principles to the Income Statement; evaluating business operations*) Assume that Division X of Paris Corporation experienced the following transactions during the year ended December 31, 20X7:

L0 1 2 4

- Suppose Division X supplied copy products for a customer for the discounted price of €262,000. Under normal conditions they would have provided these services for €290,000.
- The customer paid €125,000 in December 20X7, and the balance was paid in full in January 20X8.
- During the period, Division X also sold some products to Division Y amounting to €20,000 at a cost of €17,000.

- d. Division X discovered that the remaining useful life of its equipment is three years instead of two years. This resulted in a lower depreciation expense of €7,000 for the year (instead of €12,000).
- e. All other expenses totaled €230,000 for the year, but only €215,000 was paid to employees and suppliers.

Requirements

1. Prepare Division X's Income Statement for the year ended December 31, 20X7.
2. For items **a** through **e**, identify the accounting concept or principle that provides guidance in accounting for the item described. State how you have applied the concept or principle in preparing the Income Statement.

L0 3 4

P1-63B. (*Learning Objectives 3, 4: Using the accounting equation; evaluating business operations*) Compute the missing amounts (?) for each company—amounts in millions.

Which company has the:

- Highest net income?
- Highest percent of net income to revenues?

	Daphne Corp.	Joshua Co.	Eugene
Beginning			
Assets	€ 80	€ 40	€ ?
Liabilities	43	25	1
Share capital.....	9	3	2
Retained earnings.....	?	12	5
Ending			
Assets	€ ?	€ 42	€ 8
Liabilities	48	24	?
Share capital.....	3	?	1
Retained earnings.....	33	?	?
Income Statement			
Revenues	€218	€ ?	€12
Expenses	210	152	?
Net income.....	?	?	?
Retained Earnings			
Beginning retained earnings	€ 28	€ 12	€ 5
+ Net income.....	?	9	4
– Dividends.....	(3)	(5)	(2)
= Ending retained earnings	<u>€ 33</u>	<u>€ 22</u>	<u>€ 7</u>

P1-64B. (Learning Objectives 3, 4: Using the accounting equation; preparing a Balance Sheet; making decisions) The manager of News Maker, Inc., prepared the company's Balance Sheet while the accountant was ill. The Balance Sheet contains numerous errors. In particular, the manager knew that the Balance Sheet should balance, so he plugged in the shareholders' equity amount needed to achieve this balance. The shareholders' equity amount is not correct. All other amounts are accurate.

LO 3 4

A1				
	A	B	C	D
1	News Maker, Inc. Balance Sheet	Month Ended November 30, 20X6		
2	Assets		Liabilities	
3	Cash	€ 7,200	Notes receivable	€ 14,600
4	Equipment	38,200	Interest expense	2,000
5	Accounts payable	5,000	Office supplies	700
6	Utilities expense	1,200	Accounts receivable	3,200
7	Advertising expense	200	Note payable	56,000
8	Land	81,000	Total	95,900
9	Salary expense	55,000	Shareholders' Equity	
10			Shareholders' equity	62,400
11	Total assets	€ 138,300	Total liabilities	€ 138,300
12				

Requirements

1. Prepare the correct Balance Sheet and date it properly. Compute total assets, total liabilities, and shareholders' equity.
2. Is News Maker in better (or worse) financial position than the erroneous Balance Sheet reports? Give the reason for your answer.
3. Identify the accounts that should not be reported on the Balance Sheet. State why you excluded them from the correct Balance Sheet you prepared for Requirement 1. On which financial statement should these accounts appear?

P1-65B. (Learning Objectives 2, 4: Preparing a Balance Sheet; applying the entity assumption; making business decisions) Jeana Hart is a realtor. She organized her business as a corporation on September 16, 20X7. The business received €80,000 from Hart and issued shares to Hart. Consider these facts as of September 30, 20X7.

LO 2 4

- a. Hart has €11,000 in her personal bank account and €31,000 in the business bank account.
- b. Hart owes €1,000 on a personal charge account with a department store.
- c. Hart acquired business furniture for €40,000 on September 25. Of this amount, the business owes €30,000 on accounts payable at September 30.
- d. Office supplies on hand at the real estate office total €5,000.
- e. Hart's business owes €35,000 on a note payable for some land acquired for a total price of €115,000.
- f. Hart's business spent €28,000 for a Realty Region franchise, which entitles her to represent herself as an agent. Realty Region is a national affiliation of independent real estate agents. This franchise is a business asset.
- g. Hart owes €141,000 in mortgage on her personal residence, which she acquired in 20X1 for a total price of €375,000.

Requirements

1. Prepare the Balance Sheet of the real estate business of Jeana Hart Realtor, Inc., at September 30, 20X7.
2. Does it appear that the realty business can pay its debts? How can you tell?
3. Identify the personal items given in the preceding facts that should not be reported on the Balance Sheet of the business.

LO 4 5

■ spreadsheet

P1-66B. (*Learning Objectives 4, 5: Preparing an Income Statement, a Statement of Changes in Equity, and a Balance Sheet; using accounting information to make decisions*) The assets and liabilities of Post Shrub as of December 31, 20X6, and revenues and expenses for the year ended on that date follow.

Land.....	€ 8,000	Equipment.....	€ 36,300
Note payable.....	32,500	Interest expense.....	4,850
Property tax expense.....	1,500	Interest payable.....	1,000
Rent expense.....	13,200	Accounts payable.....	13,500
Accounts receivable.....	27,000	Salary expense.....	37,000
Service revenue.....	143,000	Building.....	129,200
Supplies.....	1,700	Cash.....	15,000
Utilities expense.....	3,000	Share capital.....	16,250

Beginning retained earnings were €116,500, and dividends totaled €46,100 for the year.

Requirements

1. Prepare the Income Statement of Post Shrub, Inc., for the year ended December 31, 20X6.
2. Prepare the company's statement of changes in equity for the year.
3. Prepare the company's Balance Sheet at December 31, 20X6.
4. Analyze Post Shrub, Inc., by answering these questions:
 - a. Was Post Shrub profitable during 20X6? By how much?
 - b. Did retained earnings increase or decrease? By how much?
 - c. Which is greater, total liabilities or total equity? Who owns more of Post Shrub's assets, creditors of the company or Post Shrub's shareholders?

LO 4

P1-67B. (*Learning Objective 4: Preparing a Statement of Cash Flows*) The following data is derived from the financial statements of The High Tide Company at the year ended May 31, 20X7 (in thousands).

Purchases of property, plant and equipment	€ 3,500	Other investing cash payments.....	€ 180
Net income.....	3,000	Accounts receivable.....	510
Adjustments to reconcile net income to net cash provided by operating activities	2,420	Payment of dividends	290
Revenues.....	59,200	Share capital.....	4,900
Cash, beginning of year.....	150	Issuance of shares.....	175
end of year	1,825	Sales of property, plant and equipment	50
Cost of goods sold.....	36,250	Retained earnings.....	12,000

Requirements

1. Prepare a Statement of Cash Flows for the year ended May 31, 20X7. Not all the items given appear on the Statement of Cash Flows.
2. Which activities provided the largest amount of cash? Is this a sign of financial strength or weakness?

P1-68B. (*Learning Objective 4: Analyzing a company's financial statements*) Summarized versions of Espinola Corporation's financial statements for two recent years follow.

LO 4

A1			
	A	B	C
1			
2		20X7	20X6
3	Income Statement	(in thousands)	
4	Revenues	€ k	€ 15,300
5	Cost of goods sold	11,010	a
6	Other expenses	1,300	1,200
7	Income before income taxes	1,600	1,800
8	Income taxes (35% tax rate)	l	630
9	Net income	€ m	€ b
10	Statement of Changes in Equity		
11	Beginning balance	€ n	€ 3,430
12	Shares bought back	(100)	0
13	Net income	o	c
14	Dividends	(121)	(200)
15	Ending balance	€ p	€ d
16	Balance Sheet		
17	Assets		
18	Cash	€ q	€ e
19	Property, plant and equipment	2,006	1,830
20	Other assets	r	10,500
21	Total assets	€ s	€ 13,565
22	Liabilities		
23	Current liabilities	€ t	€ 5,800
24	Notes payable and long-term debt	4,600	3,300
25	Other liabilities	60	65
26	Total liabilities	€ 8,986	€ f
27	Shareholders' Equity:		
28	Share capital	€ 479	€ 556
29	Retained earnings	u	g
30	Total shareholders' equity	v	4,400
31	Total liabilities and shareholders' equity	€ w	€ h
32	Cash Flows Statement		
33	Net cash provided by operating activities	€ x	€ 840
34	Net cash used in investing activities	(230)	(330)
35	Net cash used in financing activities	(480)	(475)
36	Increase (decrease) in cash	(80)	i
37	Cash at beginning of year	y	1,200
38	Cash at end of year	€ z	€ j
39			

Requirement

1. Complete Espinola Corporation's financial statements by determining the missing amounts as denoted by the letters.

APPLY YOUR KNOWLEDGE

Decision Cases

L0 1 2 4

Case 1. (*Learning Objectives 1, 2, 4: Using financial statements to evaluate a loan request*)

Two businesses, Blue Skies Corp. and Open Road, Inc., have sought business loans from you. To decide whether to make the loans, you have requested their Balance Sheets.

A1				
	A	B	C	D
1	Blue Skies Corp. Balance Sheet		August 31, 20X7	
2	Assets		Liabilities	
3	Cash	\$ 6,000	Accounts payable	\$ 40,000
4	Accounts receivable	11,000	Notes payable	90,000
5	Furniture	12,000	Total liabilities	130,000
6	Land	76,000	Owners' Equity	
7	Equipment	45,000	Owners' equity	20,000
8			Total liabilities and	
9	Total assets	\$ 150,000	owners' equity	\$ 150,000
10				

A1				
	A	B	C	D
1	Open Road, Inc. Balance Sheet		August 31, 20X7	
2	Assets		Liabilities	
3	Cash	\$ 3,000	Accounts payable	\$ 5,000
4	Accounts receivable	12,000	Note payable	10,000
5	Merchandise inventory	12,500	Total liabilities	15,000
6	Building	37,500	Shareholders' Equity	
7			Shareholders' equity	50,000
8			Total liabilities and	
9	Total assets	\$ 65,000	shareholders' equity	\$ 65,000
10				

Requirement

- Using only these Balance Sheets, to which entity would you be more comfortable lending money? Explain fully, citing specific items and amounts from the respective Balance Sheets. (Challenge)

L0 2 5

Case 2. (*Learning Objectives 2, 5: Analyzing a company as an investment*) A year out of college, you have \$10,000 to invest. A friend has started GrandPrize Unlimited, Inc., and she asks you to invest in her company. You obtain the company's financial statements, which are summarized at the end of the first year as follows:

A1			
	A	B	C
1	Grand Prize Unlimited, Inc. Income Statement		Year Ended Dec. 31, 20X6
2	Revenues		\$ 120,000
3	Expenses		75,000
4	Net income		\$ 45,000
5			

A1				
	A	B	C	D
	Grand Prize Unlimited, Inc. Balance Sheet	December 31, 20X6		
1				
2	Cash	\$ 7,000	Liabilities	\$ 56,000
3	Other assets	99,000	Equity	50,000
4	Total assets	\$ 106,000	Total liabilities and equity	\$ 106,000
5				

Conversations with your friend turn up the following facts:

- Revenues and receivables of \$25,000 were overlooked and omitted.
- Advertising costs of \$45,000 were recorded as assets. These costs should have been expenses. GrandPrize Unlimited paid cash for these expenses and recorded the cash payment correctly.
- The company owes an additional \$10,000 for accounts payable.

Requirements

- Prepare corrected financial statements.
- Use your corrected statements to evaluate GrandPrize Unlimited's results of operations and financial position. (Challenge)
- Will you invest in Grand Prize Unlimited? Give your reason. (Challenge)

Ethical Issue

You are studying frantically for a mid-term exam due tomorrow. You are having difficulty with the course, and the grade you obtain for this exam can make the difference between receiving a final grade of B or C. If you receive a C, it will lower your grade point average to the point that you could lose your academic scholarship. An hour ago, a friend, who is also enrolled in the course, but in a different section under the same professor, sent you an email telling you how she found the mid-term exam very challenging. Her class is on Tuesdays and yours is on Fridays. She accidentally took an extra copy of the mid-term exam question paper when she was packing her bags and asks if you would like it.

You glance at your course syllabus and find the following: "You are expected to do your own work in this class. Although you may study with others, giving, receiving, or obtaining information pertaining to an examination is considered an act of academic dishonesty, unless such action is authorized by the instructor administering the examination. Also, divulging the contents of an essay or objective examination designated by the instructor is considered an act of academic dishonesty. Academic dishonesty is considered a violation of the student honor code, and will subject the student to disciplinary procedures, which can include suspension from the University."

It is now close to midnight on Tuesday evening. You have been staring at your friend's email for the last hour. You click on the reply button, and start to type. . . .

Requirements

- What is the ethical issue in this situation?
- Who are the stakeholders? What are the possible consequences for each stakeholder?
- Analyze the alternatives from the following standpoints: (a) economic, (b) legal, and (c) ethical.
- What would you do? How would you justify your decision? How would your decision make you feel afterward?
- How is this similar to a business situation?





Focus on Financials: | Nestlé

This case spans all 12 chapters and is based on the consolidated financial statements of Nestlé. As you work with Nestlé throughout this course, you will develop the confidence and ability to use the financial statements of other companies as well.

Refer to Nestlé's consolidated financial statements in Appendix A. If you wish, you can obtain the full annual report from www.nestle.com/investors. You may find the information overwhelming for now, but try to spot the key principles that we have discussed in this chapter. It will get progressively easier as you gain familiarity with the elements of the financial statements.

Requirements

1. Suppose you are a Nestlé shareholder. If you could pick one item on the company's Consolidated Income Statement to increase year after year, what would it be and why? Did this item increase or decrease during 2016? What does this mean for Nestlé?
2. What was Nestlé's largest expense for 2016? In your own words, explain what you understand by this item.
3. Investors are keenly interested not just in a company's sales and profits for a given year, but in trends in its sales and profits over time. Consider Nestlé's sales and net income during the period from 2014 through 2016. Can you offer a possible explanation for these changes?
4. Use the Consolidated Balance Sheets of Nestlé in Appendix A to answer these questions:
 - a. At the end of 2016, how much in total resources did Nestlé have to work with?
 - b. How much of these resources did the company owe to external parties?
 - c. How much of these resources did the company's shareholders actually own? Use these amounts to write Nestlé's accounting equation at December 31, 2016.
5. Examine retained earnings in the Statement of Changes in Equity. Did retained earnings increase or decrease from 2015 to 2016? Also state how much in dividends the company paid out in 2016.
6. How much cash did Nestlé have at the beginning of the most recent year? How much cash did Nestlé have at the end of the year? Why is it important that a firm maintains a healthy cash balance?

Group Projects

Project 1. As instructed by your professor, obtain the annual report of a well-known company.

Requirements

1. Take the role of a loan committee of ABN-Amro, a large banking company headquartered in Amsterdam. Assume the company has requested a loan from ABN-Amro. Analyze the company's financial statements and any other information that you need to reach a decision regarding the maximum amount of money that you would be willing to lend. Go as deeply into the analysis and the related decision as you can. Specify the following:
 - a. The length of the loan period; that is, over what period will you allow the company to pay you back?
 - b. The interest rate you will charge on the loan. Will you charge the prevailing interest rate, a lower rate, or a higher rate? Why?
 - c. Any restrictions you will impose on the borrower as a condition for giving the loan.
Note: The long-term debt note to the financial statements gives details of the company's existing liabilities.
2. Write your group decision in a report addressed to the bank's board of directors. Limit your report to 500 words.
3. If your professor directs, present your decision and analysis to the class. Limit your presentation to 10–15 minutes.

Project 2. You are the owner of a company that is about to “go public,” i.e., issue its shares to outside investors. You wish to make your company look as attractive as possible in order to raise \$1 million in cash and expand the business. At the same time, you want to give potential investors a realistic picture of your company.

Requirements

1. Design a booklet (not more than 1,300 words or five pages) to portray your company in a way that will enable outsiders to reach an informed decision as to whether they should buy some of your shares. The booklet should include the following:
 - a. Name and location of your company.
 - b. Nature of the company's business (be as detailed as possible).
 - c. How you plan to spend the money you raise.
 - d. The company's comparative Income Statement, statement of changes in equity, Balance Sheet, and statement of cash flows for two years: the current year and the preceding year. Make the data as realistic as possible with the intent of receiving \$1 million.
2. If directed by your professor, make a copy of the booklet for each member of your class. Distribute copies to the class and present your case with the intent of interesting your classmates in investing in the company. Limit your presentation to 10–15 minutes.

Quick Check Answers

1. *b*
2. *b*
3. *c*
4. *a*
5. *d*
6. *d*
7. *a* ($\$120,000 - \$50,000 - \$4,000 = \$66,000$)
8. *b* ($\$120,000 - \$50,000 = \$70,000$)
9. *c* Total assets = $\$140,000$ ($\$11,000 + \$40,000 + \$34,000 + \$55,000$). Liabilities = $\$27,000$.
10. *d*
11. *b* $\$38,000 + \text{Net income } (\$18,000) - \text{Dividends} = \$50,000$; Dividends = $\$6,000$
12. *b*

	Assets	=	Liabilities	+	Equity
Beginning	\$340,000	=	\$210,000*	+	\$130,000
Increase	70,000	=	25,000	+	45,000*
Ending	\$410,000*	=	\$235,000*	+	\$175,000*

*Must solve for these amounts.
13. *c*
14. *a*

Demo Doc

The Accounting Equation and Financial Statement Preparation

To make sure you understand this material, work through the following demonstration “Demo Doc” with detailed comments to help you see the concept within the framework of a worked-through problem.

Learning Objectives 3, 4, 5

David Richardson is the only shareholder of DR Painting, Inc., a painting business near a historical housing district. At March 31, 20X6, DR Painting had the following information:

Cash	\$27,300
Accounts receivable	1,400
Supplies	1,800
Truck	20,000
Accounts payable	1,000
Share capital	40,000
Retained earnings (March 1)	5,000
Retained earnings (March 31)	?
Dividends	1,500
Service revenue	7,000
Salary expense	1,000

► Requirements

1. Prepare the Income Statement (the first part of the statement of comprehensive income) and statement of changes in equity for the month of March 20X6 and the Balance Sheet of the business at March 31, 20X6. Use Exhibits 1-8, 1-9, and 1-10 in the text as a guide.
2. Write the accounting equation of the business.

Demo Doc Solutions

► Requirement 1

Prepare the Income Statement (the first part of the statement of comprehensive income), Statement of changes in equity, and Balance Sheet of the business. Use Exhibits 1-8, 1-9, and 1-10 in the text as a guide.

Part 1	Part 2	Demo Doc Complete
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Income Statement

The Income Statement shows the changes in assets and liabilities that increase and decrease equity, i.e., income and expenses for the period. It is usually the first statement prepared because it contains the smallest subset of information, and the resulting profit or loss will flow to other financial statements.

The Income Statement reports the profitability of the business. To prepare an Income Statement, begin with the proper heading. A proper heading includes the name of the company (DR Painting, Inc.), the name of the statement (Income Statement), and the time period covered (Month Ended March 31, 20X6). Notice that we are reporting income for a period of time, rather than at a single date.

The Income Statement lists all revenues and expenses. It uses the following formula to calculate net income:

$$\text{Revenues} - \text{Expenses} = \text{Net income}$$

First, you should list revenues. Second, list the expenses. After you have listed and totaled the revenues and expenses, subtract the total expenses from total revenues to determine net income or net loss. A positive number means you earned net income (revenues exceeded expenses). A negative number indicates that expenses exceeded revenues, and this is a net loss.

DR Painting's total Service Revenue for the month was \$7,000. The only expense is Salary Expense of \$1,000. On the Income Statement, these would be reported as follows:

A1	A	B	C
	DR Painting, Inc. Income Statement	Month Ended March 31, 20X6	
1			
2	Revenue:		
3	Service revenue		\$ 7,000
4	Expenses:		
5	Salary expense	\$ 1,000	
6	Total expenses		1,000
7	Net Income		\$ 6,000
8			

Note that the result is a net income of \$6,000 (\$7,000 – \$1,000 = \$6,000). You will also report net income on the statement of changes in equity, which comes next.

Statement of Changes in Equity

The statement of changes in equity shows the changes in total equity of the entity for a period of time. To prepare a statement of changes in equity, begin with the proper heading. A proper heading includes the name of the company (DR Painting, Inc.), the name of the statement (Statement of Changes in Equity), and the time period covered (Month Ended March 31, 20X6). As with the Income Statement, we are reporting the changes in equity for a period of time, rather than at a single date.

Start the body of the statement of changes in equity with the total equity at the beginning of the period (March 1). If there is any additional capital contributed by the owners, we would list the addition to equity here. Note that the total equity will include both the share capital and beginning balance of retained earnings. Then list net income. Observe that the amount of net income comes directly from the Income Statement. Following net income you will list the dividends declared and paid, which reduce total equity. Finally, total all amounts and compute the total equity at the end of the period.

The share capital of \$40,000 was given in the question, and since there is no additional information on any additional issuance of capital, we can assume that both the beginning and ending share capital is \$40,000. Beginning Retained Earnings of \$5,000 was given in the problem. Net income of \$6,000 comes from the Income Statement and is added. Dividends of \$1,500 are deducted. On the statement of changes in equity, these amounts are reported as follows:

A1		
	A	B
	DR Painting, Inc.	Month Ended
	Statement of Changes in Equity	March 31, 20X6
1		
2	Beginning total equity, March 1, 20X6	\$ 45,000
3	Add: Net income	6,000
4		\$ 51,000
5	Less: Dividends	(1,500)
6	Ending total equity, March 31, 20X6	\$ 49,500
7		

Note that Retained Earnings has a balance of \$9,500 (\$5,000 plus net income of \$6,000 less dividends of \$1,500) at March 31, 20X6. You will also report Retained Earnings' ending balance on the Balance Sheet, which you prepare last because it has the biggest information set.

Balance Sheet

The Balance Sheet reports the financial position of the business at a moment in time. To prepare a Balance Sheet, begin with the proper heading. A proper heading includes the name of the company (DR Painting, Inc.), the name of the statement (Balance Sheet), and the time of the ending balances (March 31, 20X6). Unlike the Income Statement and statement of changes in equity, we are reporting the financial position of the company at a specific date rather than for a period of time.

The Balance Sheet lists all assets, liabilities, and equity of the business, with the accounting equation verified at the bottom.

To prepare the body of the Balance Sheet, begin by listing assets. Then list all the liabilities and shareholders' equity. Notice that the Balance Sheet is organized in the same order as the accounting equation. The amount of Retained Earnings comes directly from the ending balance on your statement of changes in equity. You should then total both sides of the Balance Sheet to make sure that they are equal. If they are not equal, then you must correct an error.

In this case, assets include cash of \$27,300, accounts receivable of \$1,400, \$1,800 worth of supplies, and the truck, valued at \$20,000. The only liability is accounts payable of \$1,000. Shareholders' equity consists of share capital of \$40,000, and the updated retained earnings of \$9,500, for a total of \$49,500, which was calculated in the statement of changes of equity.

A1				
	A	B	C	D
1	DR Painting, Inc. Balance Sheet		March 31, 20X6	
2	Assets		Liabilities	
3	Cash	\$ 27,300	Accounts payable	\$ 1,000
4	Accounts receivable	1,400	Shareholders' equity	
5	Supplies	1,800	Common Stock	40,000
6	Truck	20,000	Retained earnings	9,500
7			Total shareholders' equity	49,500
8			Total liabilities and	
9	Total assets	\$ 50,500	shareholders' equity	\$ 50,500
10				

Assets = Liabilities + Shareholders' Equity

► Requirement 2

Write the accounting equation of the business.

Part 1	Part 2	Demo Doc Complete
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In this case, asset accounts total \$50,500. Liabilities total \$1,000—the balance of Accounts Payable—and shareholder's equity is \$49,500. This gives us a total for liabilities and equity of \$50,500 (\$1,000 + \$49,500).

Assets of \$50,500 = Liabilities of \$1,000 + Shareholders' Equity of \$49,500

Part 1	Part 2	Demo Doc Complete
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